Global Macro Outlook and Strategy

Global Rates, Commodities, Currencies and Emerging Markets

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Overall summary

US Rates

- We expect a hold next week with little new guidance from Chair Warsh but see hawkish risks in the statement and discount rate. Front-end yields have not fully kept pace with the hawkish shift in Fed rhetoric: we find scope for yields to rise modestly from here, even if the Fed remains on hold, but we do not want to chase this bearish impulse and prefer curve flatteners, as bearish JGB dynamics have kept the curve steeper this month: we enter 5s/30s flatteners, but are aware that a dovish Fed could bullishly steepen the Treasury curve, and beyond next week, that any significant change to Treasury's forward guidance could push the curve steeper as well.

International Rates

- The re-escalation of US-Iran tensions continued to be in focus last week. The rise in energy, and particularly gas, prices has driven EUR area yields back to or slightly above their March peaks. The ECB left policy rate unchanged keeping alive a 25bp hike in September with the press conference not surprising markets.

Currencies

- Two focal issues: resurgence in energy prices and rising interest rates; both supportive of USD and carry. Stay bullish USD pre-FOMC; USD has one-sided sensitivity to oil and is undershooting rates. Higher energy prices boosting carry returns as exporters (importers) are high-yielders (funders). Empirical sensitivity to energy prices is highest for the euro bloc. EUR vulnerable with gas prices rising and regional storage low. BoJ, BoE unlikely to turn the tide for yen, GBP. Trade policy vol turning up, but only narrow FX implications for now.

Commodities

- Under our base case—Brent averaging $86 in 3Q26 and $80 in 4Q26—we expect US gasoline prices to hold just below $4 per gallon through August before gradually declining toward $3.30 by year-end. If disruptions persist for another month, the national average would likely rebound to around $4.20. If the conflict extends to two months, prices would likely move back above $4.50. In LNG, Base case is de-escalation and Qatar ramp-up, but another shutdown is the key downside (Qatar could hit tank-full in 2–3 weeks, uncertain).
- While market awaits tariff update, China keeps buying copper. Amongst major agricultural commodities, sugar is particularly exposed to El Niño because its key supply regions—India, Thailand, and Centre-South Brazil (which together account for roughly 65% of global exports)—face weather risks simultaneously but through different channels.

Emerging Markets

- The two key risks, energy prices and the Fed, are keeping uncertainty high and positioning low.
- We keep OW EM FX supported by the cyclical outlook; MW EM rates, recognizing increasing two-sided risks for inflation and central banks; and MW EM credit, both sovereigns and corporates, as tight valuations lean against an otherwise constructive tone.

Agenda

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We project a Fed on hold through 2026. We look for 2- and 10-year Treasury yields to reach 4.20% and 4.70% by YE26 and 4.30% and 4.75% by 2Q27

J.P. Morgan US interest rate forecast, %

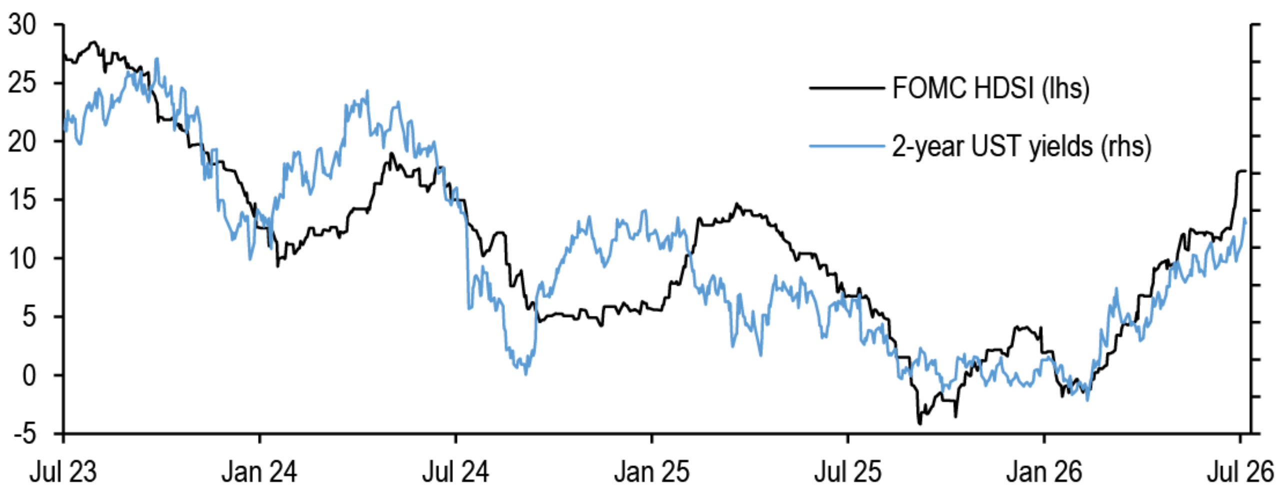
	Actual	1m ahead	3Q26	4Q26	1Q27	2Q27
	24-Jul-26	24-Aug-26	30-Sep-26	31-Dec-26	31-Mar-27	30-Jun-27
Rates (%)						
Effective funds rate	3.63	3.62	3.62	3.62	3.62	3.62
SOFR	3.64	3.60	3.60	3.60	3.60	3.60
2-yr Treasury	4.33	4.35	4.15	4.20	4.20	4.30
3-yr Treasury	4.36	4.40	4.20	4.25	4.25	4.35
5-yr Treasury	4.42	4.50	4.40	4.45	4.50	4.50
7-yr Treasury	4.54	4.55	4.45	4.55	4.65	4.65
10-yr Treasury	4.68	4.70	4.65	4.70	4.75	4.75
20-yr Treasury	5.19	5.20	5.15	5.20	5.25	5.25
30-yr Treasury	5.16	5.10	5.10	5.15	5.15	5.15
Spreads (bp)						
Fed funds/2yr	70	73	53	58	58	68
2s/10s	35	35	50	50	55	45
2s/5s	10	15	25	25	30	20
5s/10s	25	20	25	25	25	25
5s/30s	74	60	70	70	65	65
10s/30s	48	40	45	45	40	40

Source: J.P. Morgan

- We forecast US GDP will grow 1.9% (q4/q4) in 2026, while core PCE remains firm at 3.4% (q4/q4). The unemployment rate should gradually fall over 2026, reaching 4.1% (%q/q, saar) in 4Q26
- **We expect the Fed to remain on pause for the whole of 2026**, holding the funds rate target range to 3.5-3.75%. We see the Fed as likely to raise policy rates in 3Q27 as labour markets tighten and inflation remains above target
- Against this backdrop, we see **2-year Treasury yields reaching 4.20% by YE26. Meanwhile 10-year yields should rise to 4.70% by YE26**
- We see the intermediate section of the curve underperforming, with 2s/10s modestly steeper over the period

Front-end yields have kept pace with a hawkish Fed speak shift, and near-term risks are skewed to higher yields, though we stay neutral outright duration for now…

Fed Hawk Dove Score Index* (lhs) versus 2-year Treasury yields (rhs; %)



* See *Listen up: Upgrading J.P. Morgan's central bank NLP machine*, Joseph Lupton and Dan Weitzenfeld, 7/2/24

Source: J.P. Morgan

- We expect the FOMC to hold rates steady next week, but anticipate at least two hawkish dissents—likely from Hammack and Logan—as some Committee members grow impatient with persistent above-target inflation
- Given money markets are pricing in a considerable probability of a July hike, and the magnitude of moves we've had over the last two weeks, a Fed staying on hold could risk yields reversing lower next week, but we think there are other factors which risk markets continuing to price in a more hawkish reaction function
- We think risks are skewed toward higher yields over the near term. However, with yields near their local highs, we do not like chasing the momentum with outright duration shorts now, and we prefer looking for bearish trades with some relative value

…We prefer bearish trades with relative value, and find curve flatteners attractive: enter 5s/30s curve flatteners

Current levels for Treasury curve pairs, with 5-year statistics and regression statistics from fair-value model* and 3-month carry and roll; bp unless otherwise indicated

Curve	Last	Min	Max	Avg	%	R^2	1y1y OIS	5y5y BE	Tariff dummy	Fed Balance Sheet	Current residual	Current Z-score	3m C+R
2s/5s	10	-78	78	-6	61%	66%	-0.35	0.70	0.01	-0.02	32.7	1.6	4.8
2s/10s	35	-109	129	7	62%	78%	-0.54	0.88	0.09	-0.06	40.1	1.6	6.3
2s/30s	83	-119	184	38	64%	84%	-0.68	0.78	0.21	-0.08	54.9	1.9	7.7
3s/7s	18	-55	81	7	60%	82%	-0.29	0.45	0.03	-0.03	17.2	1.4	1.2
5s/10s	25	-36	56	14	67%	93%	-0.18	0.19	0.08	-0.03	7.3	1.2	1.5
5s/20s	76	-23	118	53	69%	89%	-0.25	-0.03	0.19	-0.04	19.5	1.7	1.5
5s/30s	74	-46	123	44	69%	92%	-0.33	0.08	0.19	-0.06	22.1	1.9	3.0
7s/10s	13	-21	30	6	69%	95%	-0.09	0.08	0.05	-0.02	3.0	1.1	1.3
10s/20s	51	13	65	39	75%	67%	-0.07	-0.21	0.11	-0.01	12.2	1.7	0.0
10s/30s	48	-18	70	31	72%	85%	-0.14	-0.10	0.11	-0.03	14.8	1.9	1.4
20s/30s	-3	-32	11	-9	69%	90%	-0.07	0.11	0.01	-0.02	2.6	0.9	1.4

*Treasury curve pairs regressed on 1y1y OIS rates (%), 5y5y seasonally-adjusted TIPS breakevens (%), Fed B/S as share of the US economy (%), and a dummy variable for trade policy uncertainty that is 1 between 4/2/25 and 2/26/26. Regression over the last 5 years.
Source: J.P. Morgan, Federal Reserve

- Broadly speaking, the Treasury curve should have flattened more given the hawkish repricing in Fed expectations that has occurred over the last few weeks, and most curves appear more than 1 standard deviation steep relative to their fundamental drivers, with curves anchored at the long end displaying the largest divergences
- This divergence has likely been driven by the ongoing rise in JGB yields: Treasuries no longer look attractive to local-currency funded investors in Japan, and bearish developments in JGBs have helped to keep the Treasury curve elevated at steeper levels than would be dictated by purely domestic drivers
- We recommend 5s/30s flatteners, though we see risks to this trade coming from dovish developments at next week's FOMC meeting, a quick de-escalation of the conflict in the Middle East, and debt management considerations

Incorporating a faster pace of tariff refunds and lower tariff revenue this year, we expect a deficit of $2.02tn in FY26 and $1.96tn in FY27

J.P. Morgan projection of net privately-held borrowing, Treasury buybacks, Federal Reserve purchases of Treasuries, and expected change in Treasuries held by private investors; $bn

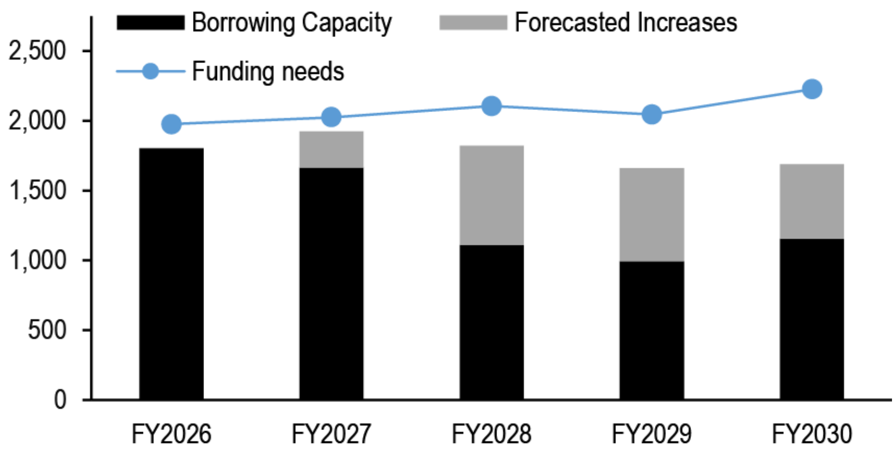
Year	Total net privately-held borrowing	Buybacks	Fed secondary market purchases		Net change in privately-held debt outstanding	
			Bills	Coupons	Bills	Coupons
CY 2020	4301	0	157	2184	2390	-432
CY 2021	1607	0	0	938	-1195	1961
CY 2022	1681	0	0	99	-37	1539
CY 2023	3122	0	0	0	2047	1107
CY 2024	2422	85	0	0	538	1823
CY 2025	2105	195	38	0	322	1719
CY 2026	2108	240	410	0	410	1293
CY 2027	2045	240	300	0	326	1419

Source: U.S. Treasury, J.P. Morgan

- IEEPA tariff refunds have been issued a modestly faster pace than we anticipated, and we now expect $75bn in refunds in FY26 and an additional $50bn in FY27. Moreover, we forecast a slower pace of tariff revenue accumulation this year at $325bn in FY26, before returning to a $400bn pace in FY27
- **Net of these factors, we now expect a deficit of $2.020tn in FY26 and $1.960tn in FY27, versus $1.955tn and $2.050tn, respectively, at the start of the year**
- Net of Fed purchases and buybacks, this translates to a $410bn change in privately-held bills and $1.293tn in net privately-held coupon issuance

We continue to believe Treasury will change its issuance guidance in August, but see a risk they could leave unchanged, pushing coupon auction increases further into FY27

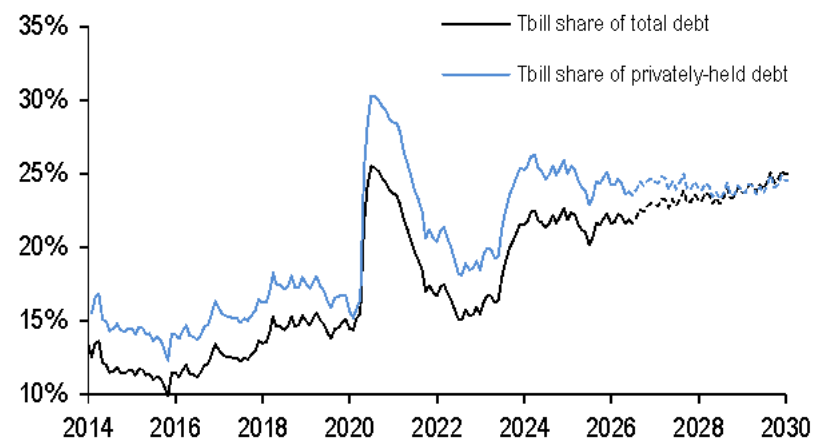
US Treasury net coupon borrowing capacity under unchanged issuance * and under J.P. Morgan forecast versus total funding needs; $bn**



* Incorporates SOMA add-ons from maturities of first-time Fed bill purchases
**Assumes multi-quarter series of increases to 2s through 10s beginning in February 2027

Source: US Treasury, CBO, J.P. Morgan

T-bill share of total debt vs. share of privately-held debt, including J.P. Morgan forecasts*; %



*J.P. Morgan forecasts reflect a multi-quarter series of nominal coupon auction size increases beginning in February 2027 concentrated in 2s through 10s, while 20s and 30s are left unchanged (see US Treasury Market Daily, 1/23/26 for details), and assume RMPs at a pace of $10bn/mo

Source: J.P. Morgan

- Under their current schedule, Treasury remains well funded in FY26, though large gaps emerge in FY27 and beyond. We expect Treasury to remove the guidance that it anticipates maintaining unchanged coupon auction sizes for “at least” the next several quarters in August ahead of revising coupon auction sizes higher in February 2027…
- …However, if potential political considerations for leaving guidance unchanged in May grows ahead of midterms, we see increased risk that Treasury will continue to leave guidance unchanged. This would push auction size increases further into FY27 and suggest increased reliance on T-bills over the interim. Given Fed RMPs and the ongoing reinvestment of MBS paydowns into T-bills, we see the privately-held bill share as staying relatively stable over the medium term

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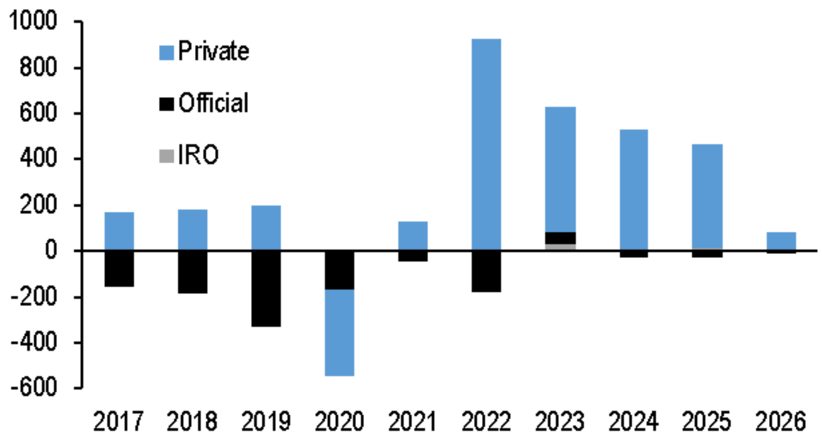
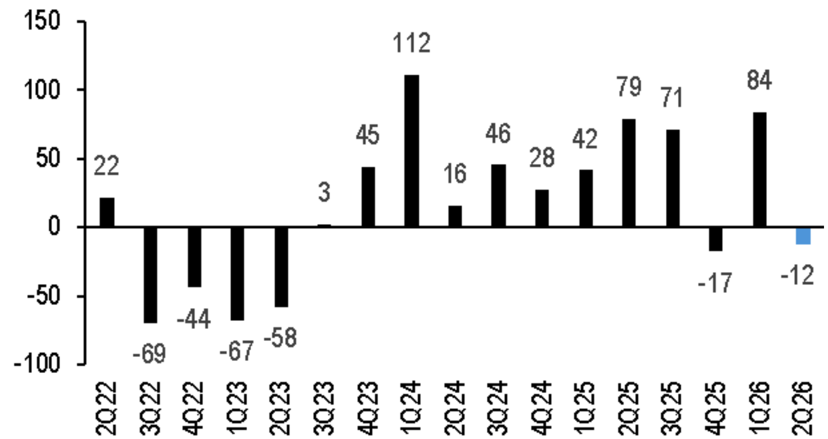
Foreign demand is running at its slowest pace since 2021 and commercial bank demand has waned, while we have seen robust bond fund inflows…

Annual net foreign purchases of long-term Treasuries by type*; $bn



*Through March 2026
Source: Treasury International Capital System

Quarterly change in commercial bank holdings of non-MBS Treasury and agency securities*; $bn



*2Q26 through 5/27/26
Source: Federal Reserve

- Foreign demand is running at its slowest pace since 2021, and demand continues to shorten along the curve. A resilient US economy, a Fed shifting hawkishly, and attractive valuations in home jurisdiction government bonds suggest foreign demand should remain weak
- Commercial bank demand has waned alongside firmer loan growth and unattractive valuations. We lower our demand forecast
- The AUM of the top core bond funds continue to increase at a robust clip, and we would expect yields near their cycle highs will keep inflows strong
- We continue to project reduced LDI demand. With DB pension plans heavily invested in fixed income securities, funding ratios above 100%, and the volatility in funding ratios having declined considerably, duration demand is likely to remain muted

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…We revise lower our demand forecasts, and the shift towards price-sensitive investors will help keep long-term yields anchored at higher levels

Annual net issuance of Treasuries versus purchases by investor types; $bn

	2017	2018	2019	2020	2021	2022	2023	2024	2025	2026*
UST net issuance; $bn	557	1134	1068	4301	1607	1353	2434	1974	2425	2428
Investor										
Foreign Investors	308	120	298	67	606	393	594	609	509	450
Commercial banks	-43	87	126	328	449	9	-83	194	179	150
Pension/Insurance**	151	57	6	13	179	-8	143	226	183	150
Broker dealers	17	132	-47	-9	-104	85	121	130	71	100
Mutual funds/ETFs	186	121	187	24	410	127	101	211	259	225
Money market funds	-95	189	178	1343	-651	-751	1236	725	250	400
Fed	-9	-214	60	2388	963	-594	-720	-475	-100	410
Demand gap***	41	640	262	146	-244	2091	1042	354	1075	543

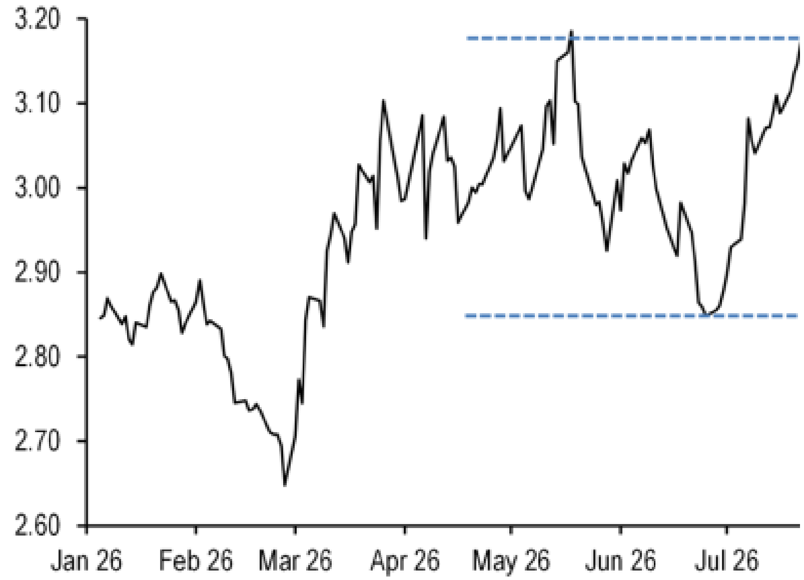
* J.P. Morgan estimates
** Includes private and state pension funds, life and property/casualty insurance companies
*** Positive number means supply exceeds estimated demand
Source: J.P. Morgan, Federal Reserve

- If our projections become reality, other investors will need to absorb $543bn in additional Treasury supply. This supports our thesis that with Treasury market ownership continuing to shift toward more price-sensitive investors, alongside a Fed on hold, this should help keep intermediate and long-end yields anchored at somewhat higher levels through the remainder of this year

Agenda

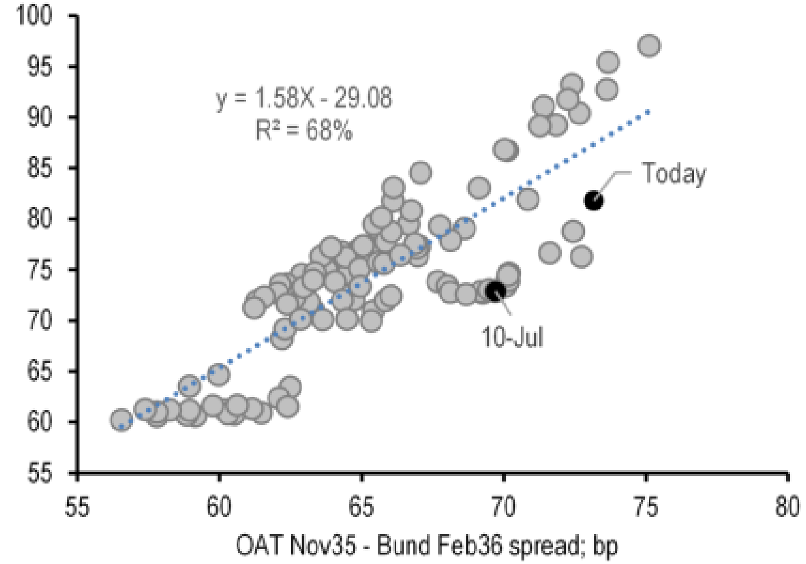
Euro area: Hold longs in 10Y German and stay long 10Y Bunds vs. UST; in intra-EMU, short 10Y Italy vs. France

10Y US-Germany yield;
Bund Feb36 yield; %



Source: J.P. Morgan.

10Y Italy-Germany spread regressed against 10Y France-Germany spread; BTP Feb36-Bund Feb36 vs. OAT Nov35 vs. Bund Feb36; since Feb26 (post 2026 French budget approval);
Bp



Source: J.P. Morgan.

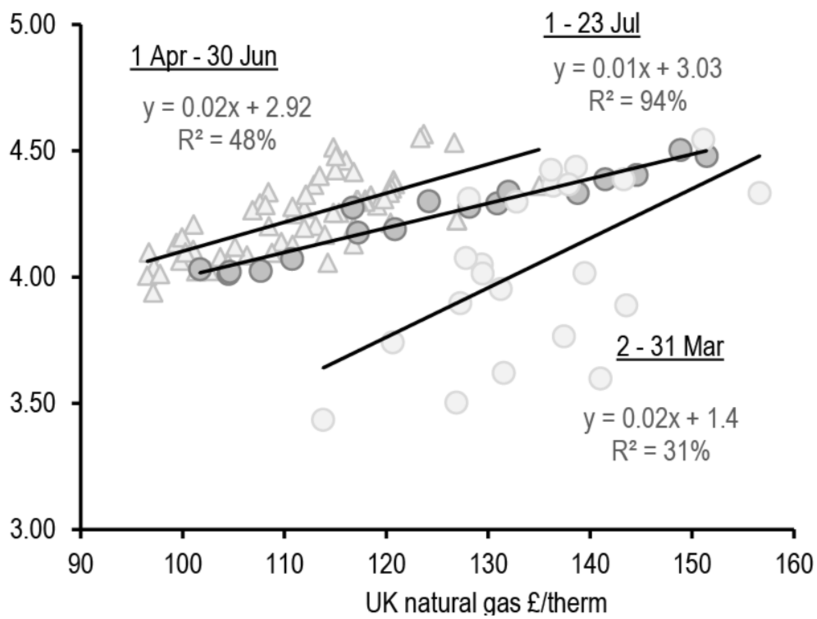
- **<u>Duration</u>:** We hold tactical long 10Y Germany with a tight stop and look to take profit below 3.0%. Cross-market, we stay short 10Y UST vs. Bund

- **<u>Intra-EMU strategy</u>**: Remain **cautious stance on intra-EMU/€-SSA carry exposures** as at current valuations the spread carry is not providing sufficient cushion against potential risk-off widening risks, especially given already OW positioning. We stay **short 10Y Italy vs. France** as a risk-off carry efficient proxy and tactical way to position for potential Italian budget noise. Hold long 30Y EU vs. swap to express our strategic OW EU theme. Keep UW 10Y Belgium vs. France/Germany in 50:50 flies as an attractive convex hedge against tail risk of further escalation in the Middle East conflict.

- **<u>Derivatives</u>**: We look for 1Yx1Y €STR to trade in a 2.40%–2.60% range. After the recent selloff, we remain biased towards lower money market yields but remain wary of near-term volatility. **We avoid outright exposure in the €STR curve and prefer bullish expressions via options** (we recommend buying Mar27 Euribor 1x2 call spread). We recommend buying 3Mx(1Yx1Y) A/A-20bp receiver spread funded by selling around A+25bp payer. Keep **carry trades:** 1) Hold Bund/Buxl swap spread steepener, 2) short

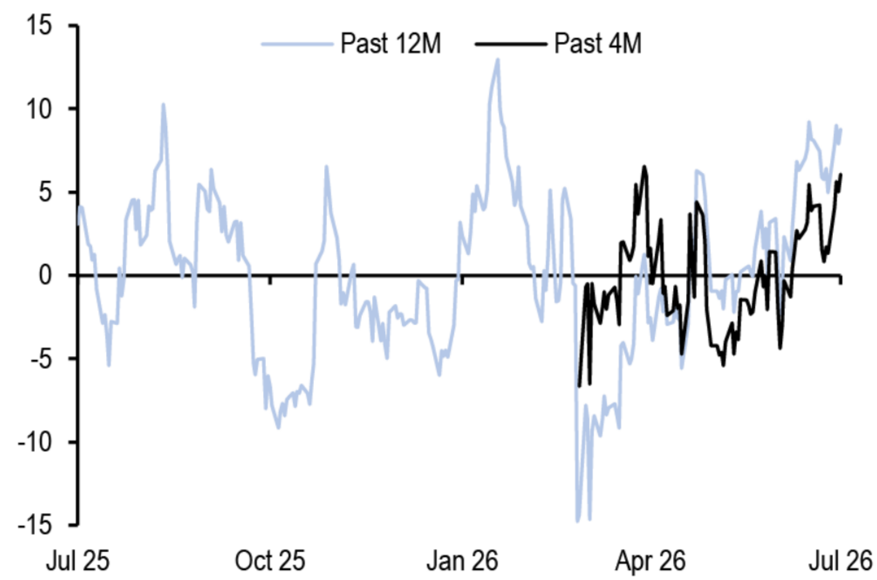
UK: remain cautious on front-end, keep longs in 10Y gilts

1Yx1Y SONIA regressed against front UK Natural Gas contract
%



Source: J.P. Morgan.

4M and12M residuals from regressing 2s/10s gilt curve vs. 1Yx1Y SONIA, 2s/10s UST curve, BoE APF gilt holdings
Past 12M, bp

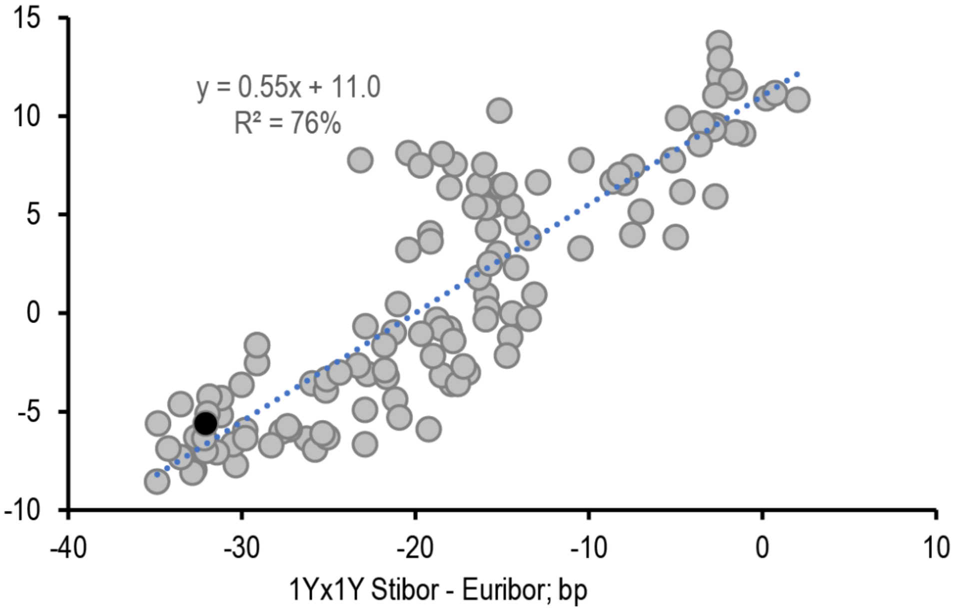


12M: 2s/10s gilt curve = -0.15 * 1Yx1Y SONIA + 0.44 * 2s/10s UST + 0.0003 * BoE APF + 0.9. R-squ: 74%, std. error: 5bp; 4M: 2s/10s gilt curve = -0.25 * 1Yx1Y SONIA + 0.6 * 2s/10s UST - 0.02 * BoE APF +11.2 R-squ: 84%, std. error: 3bp. Source: J.P. Morgan.

- Given the large rally in gas prices, the front end of the curve has seen a similar repricing of increased BoE rate hike expectations to ~3 hikes which looks excessive in our view, given so far there are limited signs of pass through. 1Yx1Y SONIA looks cheap, however we are wary of fading given the strong beta vs. gas.
- Further out, we remain cautiously long on 10Y gilts on valuations. The bulk of the sell-off in 10Y gilts to 5.10% reflects the sell-off in 1Yx1Y SONIA rather than a large increase in term premia uncertainty. The relative steepness in 2s/10s gilts curve does not reflect any significant increase in fiscal/political term premia as the policy announcements from new PM Burnham have been relatively incremental cost-of-living measures rather than indications of large shifts in fiscal policy

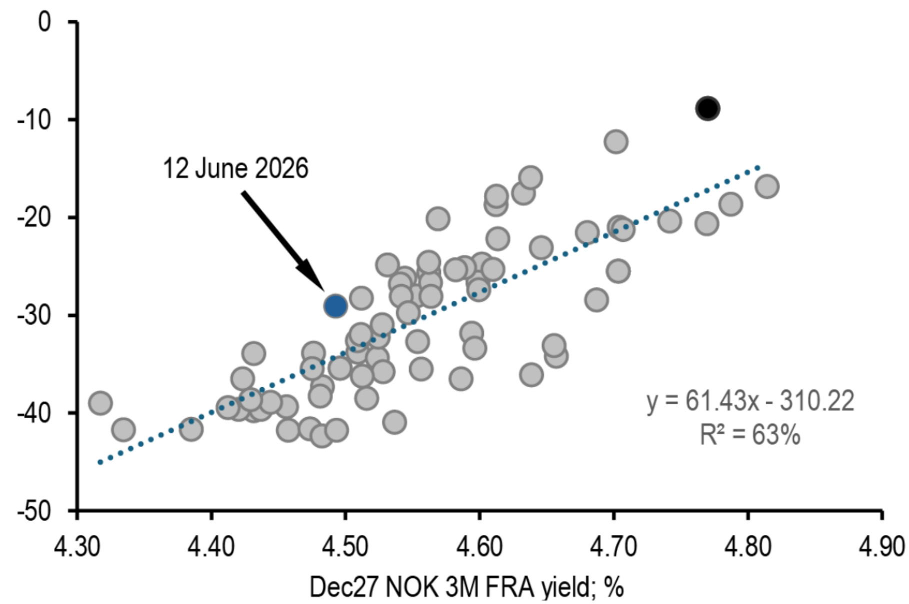
Scandinavia: neutral on Sweden front-end and hold 5Yx5Y Stibor-Euribor wideners; in Norway, take profit on Dec26/Dec27 NOK 3M FRA and hold reds/greens Nibor flattener

5Yx5Y Stibor-Euribor regressed vs 1Yx1Y Stibor-Euribor
Past 3M; bp



Source: J.P. Morgan.

Dec26/Dec27 NOK 3M FRA curve regressed against Dec26 NOK 3M FRA yield;
Since 1 Apr 2026, bp



Source: J.P. Morgan.

- **Sweden:** Our baseline expectation remains for one more hike by the end of 2026. We are neutral on front-end duration with a bias to trade form the short side. We continue to favour the Dec26/Dec27 steepener as a carry-efficient low-beta proxy. We **hold 5Yx5Y Stibor-Euribor wideners** given our view of increased term premia in intermediate Swedish yields around the upcoming 13 September elections
- **Norway:** Our baseline expectation is for one more 25bp hike from the Norges Bank in September. Following the material energy-driven bear-steepening of the NOK 3M FRA curve over the past few weeks, we **take profit on Dec26/Dec27 NOK 3M FRA curve steepeners**. We see limited scope for further near-term Euribor outperformance in a rally, or Nibor underperformance in a sell-off. **Hold Reds/Greens Nibor swap curve flattener** as low-beta bearish proxy and attractive carry

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International Rates trade recommendations

Euro area

- **Euro duration**: Stay long 10Y Germany, with a tight stop, and look to take-profit below 3.0%.

- **Intra-EMU**: Stay cautious on intra-EMU/€-SSA carry as the ongoing US-Iran conflict challenges the summer carry narrative. Hold long 30Y EU vs. swap. Recent Italian coalition friction raises political-noise risk into the 2027 budget: stay short 10Y Italy vs. France. Hold UW 10Y Belgium vs. France/Germany.

- **Derivatives**: Keep a bullish duration bias on the money market sector via options. We recommend buying Mar27 Euribor 1x2 call spread (97/97.3125). Stay in 3Mx(1Yx1Y) receiver spread versus paying OTM payer. Take profit on the belly of 1Y/1Yx1Y/2Yx1Y 50:50 €STR fly. Hold 10s/30s steepening bias and keep 2Yx2Y/10Yx10Y steepener on RV considerations. Stay neutral on Schatz and Bund spreads. Keep Bund/Buxl swap spread curve steepener. Stay short volatility via shorts in 3Mx5Y and short unhedged 3Mx(3Yx1Y) straddles.

UK

- **UK**: Take profit on the paid belly of 1Y/1Yx1Y/2Yx1Y SONIA fly as a carry trade. Keep tactical long in 10Y gilts. Remove 10s/30s gilt curve flattening bias. Stay short 3Mx1Y gamma.

Scandinavia

- **Sweden**: We stay neutral on Stibor yields on an outright and cross market basis at the front-end; hold 5Yx5Y Stibor/Euribor widener on medium-term considerations.
- **Norway:** take profit on Dec26/Dec27 NOK FRA curve steepener and hold reds/greens Nibor flattener as low-beta bearish proxy and attractive carry

Japan

- **Japan**: Yields declined broadly beyond the 5-year sector this week, supported by growing market focus on GPIF and a strong 20-year auction. While recent equity weakness could slow pension-related rebalancing into domestic bonds in the near term, GPIF-related developments are likely to remain a key market theme. We see no need to revise our outlook at this stage, but any signs of a large-scale asset allocation shift by GPIF would likely prompt a reassessment of JGB supply-demand conditions and long-term rates.

Antipodean

- **Australia & New Zealand**: Trade portfolio: Hold the ACGB 3s/10s (YMU6/XMU6) futures curve steepener. Stay paid the NZD-AUD 5Y5Y IRS spread. Favor Nov-26/Aug-27 RBA OIS flatteners.

Agenda

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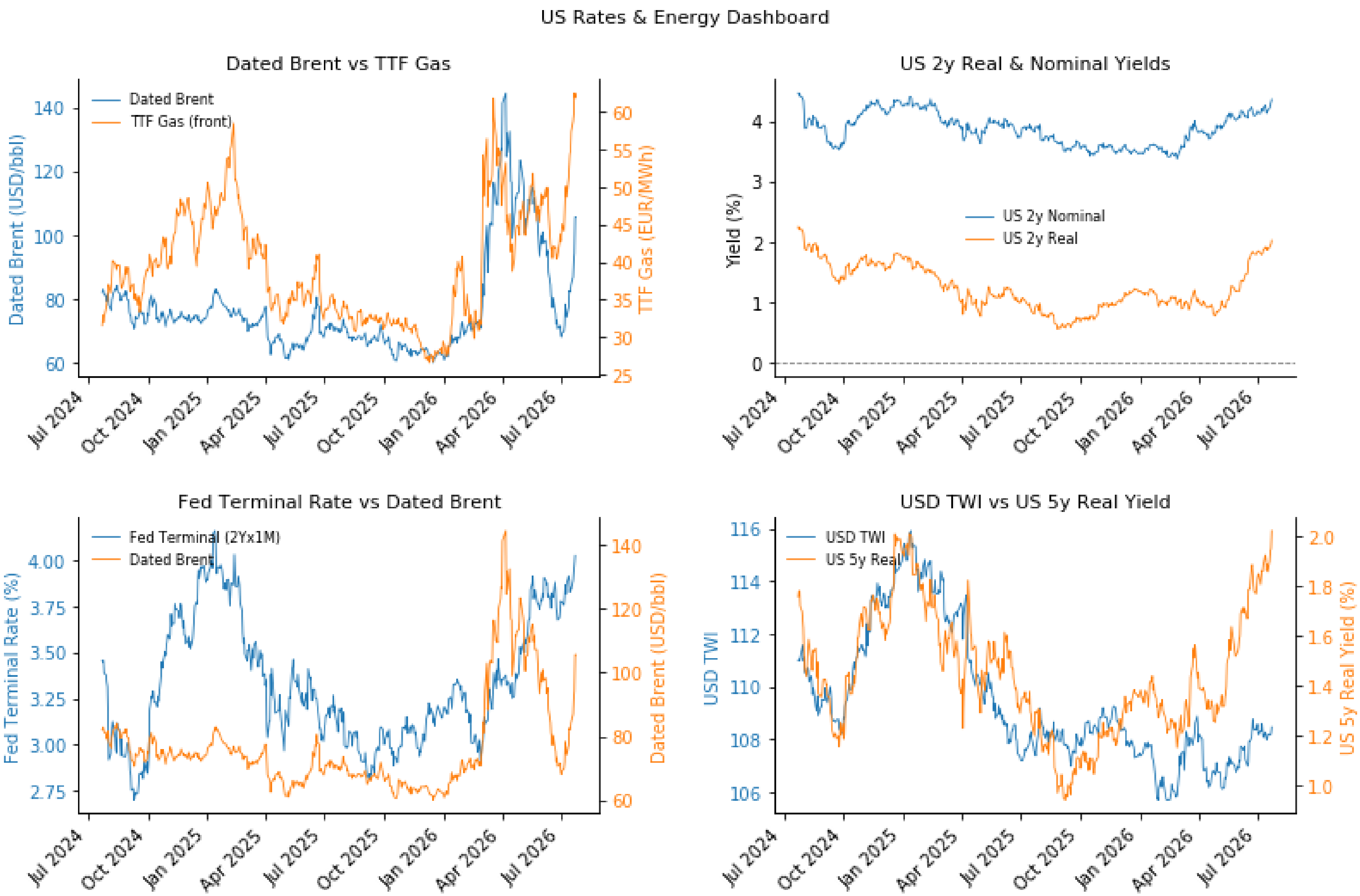
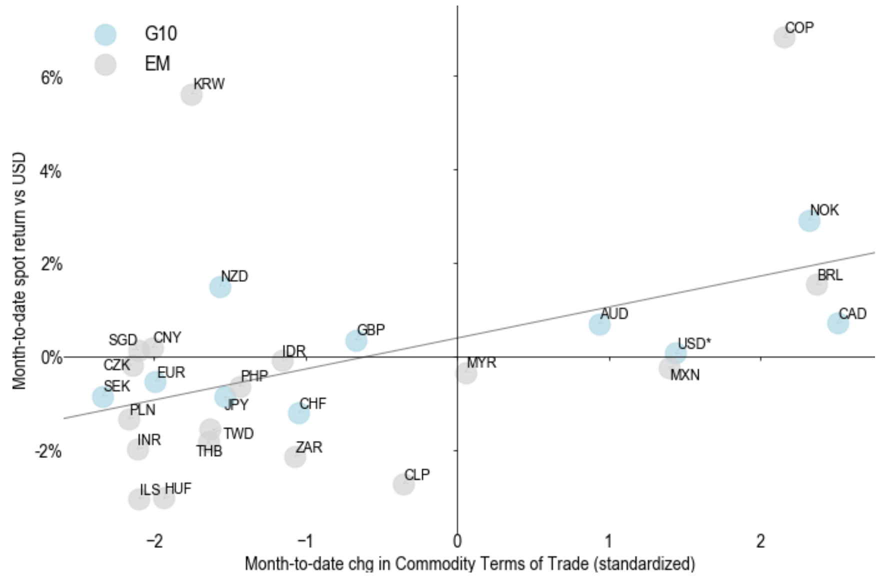
Focal issues for markets: Higher energy prices with gas at new cycle highs, rising real/ nominal interest rates and a persistent relative dollar undershoot



Source: J.P. Morgan, Bloomberg Finance L.P.

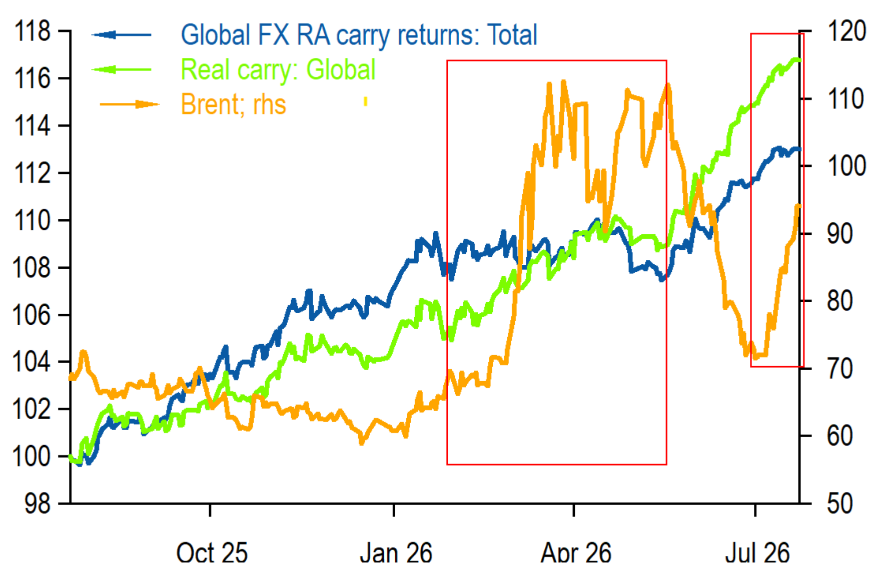
Our views remain unchanged: We stay bullish USD going into the FOMC meeting and stay constructive on global carry

X: month-to-date change in commodity terms of trade (standardised); Y: month-to-date CCY/USD spot returns, USD* is USD TWI



Source: J.P. Morgan, JPMaQS

Global FX RA carry return and brent



Source: J.P. Morgan

- Two focal issues for FX: a resurgence in energy prices and upcoming FOMC/ higher interest rates; both are currently supportive of the dollar and carry baskets.
- Stay bullish USD pre-FOMC. The dollar and Fed pricing have been sensitive to energy prices when they are going up but not when they are declining and USD is still undershooting relative to rate spreads; watch dissents.
- Higher energy prices are boosting carry performance, as it did in March / April; exporters are mostly high-yielders, while importers are dominated by funders.

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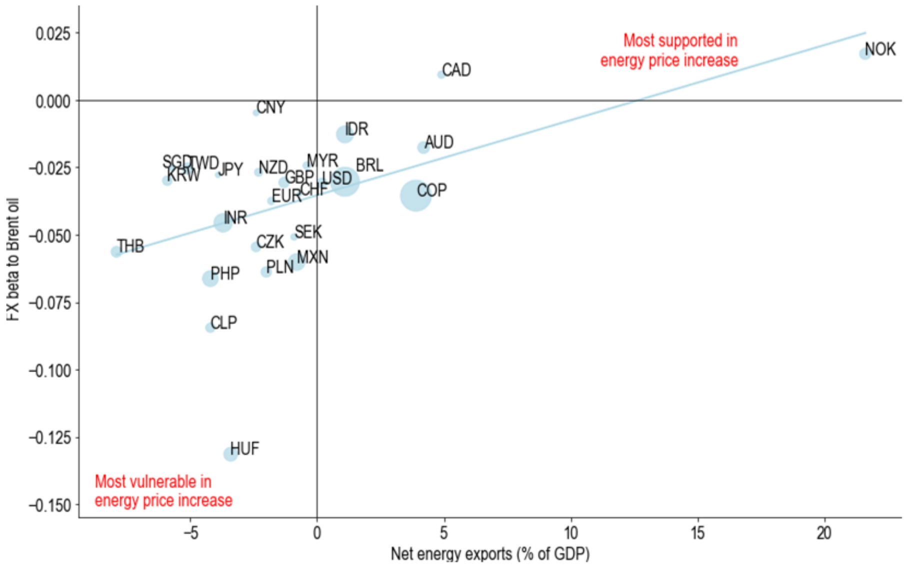
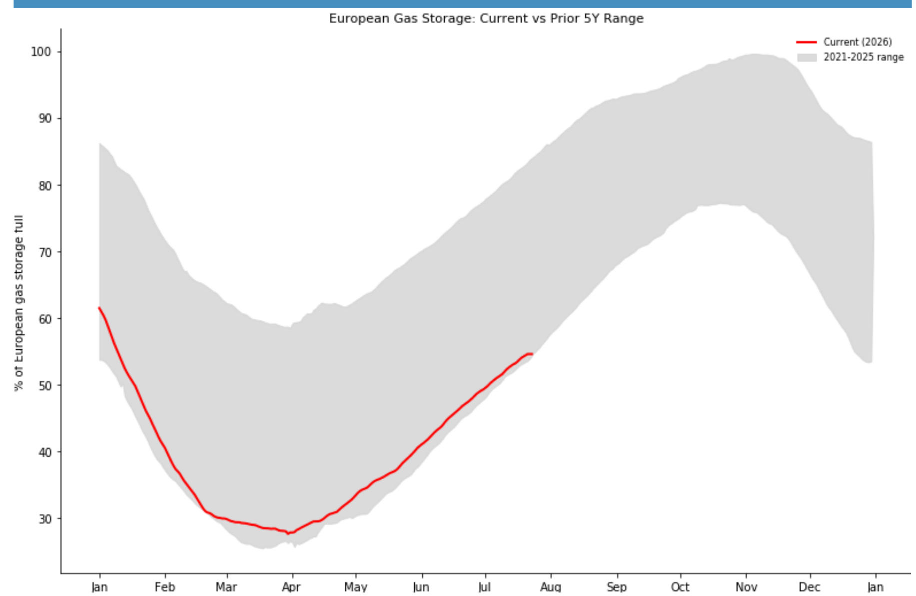
Energy import dependency is the highest for Asia, followed by the euro bloc, but empirical FX sensitivity to energy prices is larger for the euro bloc

Oil beta of CCY/USD (1y beta based on 1 week changes) vs. net energy exports as % of GDP; size of scatter dot reflects level of carry vs USD.



Source: J.P. Morgan, World Bank, Haver

European gas storage : current vs prior 5 year range

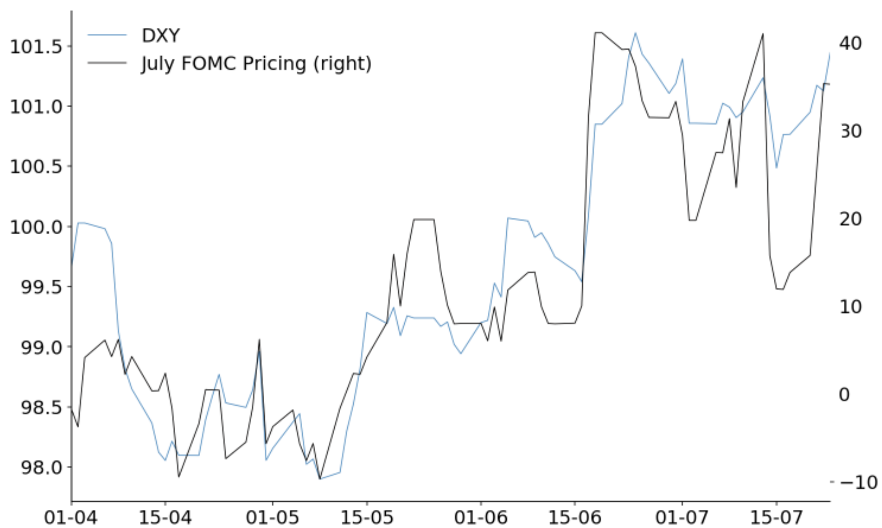


Source: J.P. Morgan, Bloomberg Finance L.P.,

- Energy import dependency is the highest for Asia, followed by the euro bloc, but empirical FX sensitivity to energy prices is larger for the euro bloc.
- Rising gas prices should be relevant for the euro in particular where storage is running lower than usual for this time of the year; we continue to use EUR as a funder.
- Among the other low-yielders, SEK has been the most vulnerable to rising energy prices, a currency we remain bearish on despite an improving bottom-up story.

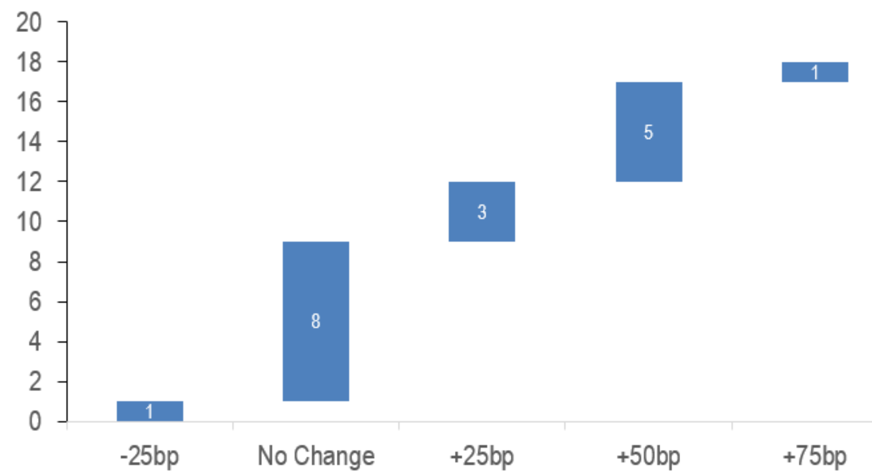
FOMC FX preview: Hawkish risks to USD renewed

LHS: DXY; RHS: July FOMC OIS, % of 1 hike priced (1m)



Source: J.P. Morgan, World Bank, Haver

Dot plot from June FOMC



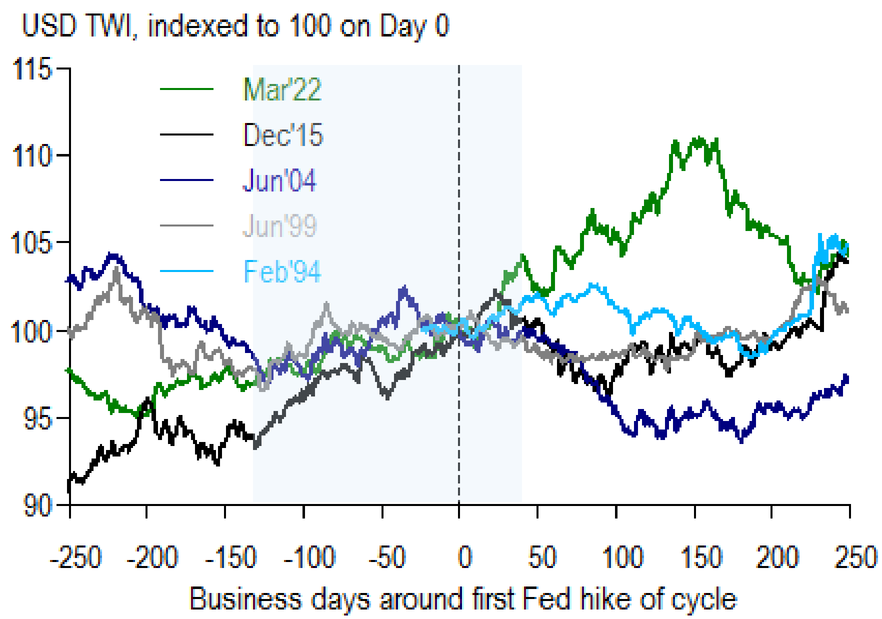
Source: J.P. Morgan, Bloomberg Finance L.P.,

- The July FOMC has quickly shifted from limited event risk to high event risk for FX.
- Barring a surprise hike (not our base-case), the dissents will be the key driver how USD performs on the day. 2-3 dissents is the bullish-USD threshold.
- July FOMC pricing has rebounded, with OIS now pricing in a material ~9bp premium for a hike next week. This has dragged the dollar higher, reflecting some combination of 1) still-limited disinflation (core PCE tracking much higher than core CPI), 2) hawkish Fedspeak, and 3) some constructive data, such as the multi-decade lows in initial jobless claims.

J.P.Morgan

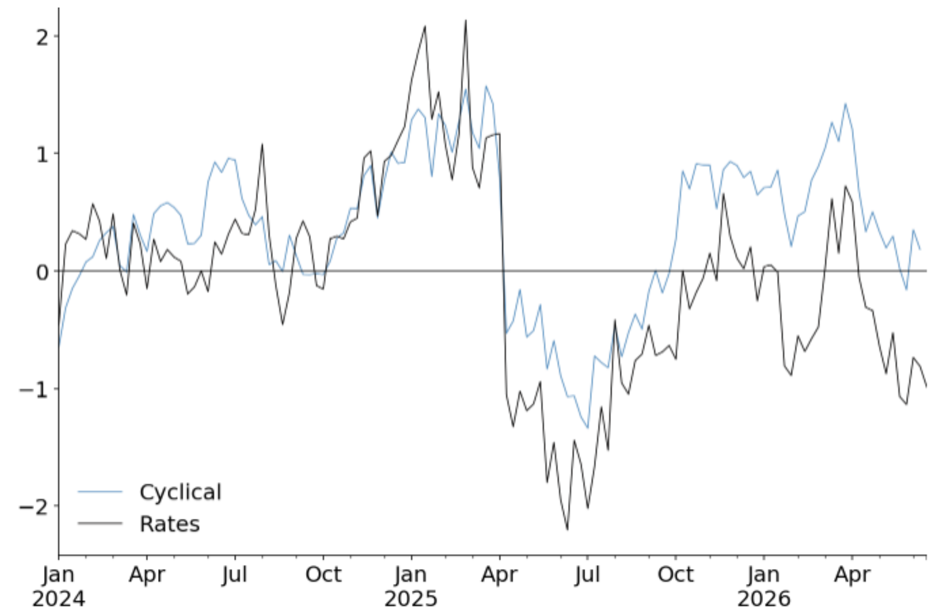
We look for ~3% of broad USD upside, consistent with previous Fed hiking episodes

Blue shaded area highlights the phase of reliable USD TWI appreciation in the lead-up to the first Fed hike across cycles



Source: J.P. Morgan

Avg mispricing (z-score) across rates and cyclical USD TWI fair value models
Cyclical Models: two-factor equity model, three-factor credit spd model, relative FRI model
Rates Models: 5Y real rate spds, 2Y wtdt nominal swap spds, avg bilateral G10 cross models



Source: J.P. Morgan, Bloomberg Finance L.P.

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Key political risks; US midterms remains the focal point

Fiscal, trade, foreign policy, and FX policy remain the key policy channels for FX

Policy Channel	Key Levers	USD Risk bias	FX Adjustment Mechanisms	Authority	Midterm-Sensitive?
Fiscal	Reconciliation 2.0, defense spending	↓	Term premium, inflation risk premium, Fed responsiveness	Congress	High
Trade / Tariffs	Tariff Sections 122/232/301, Tariff Revenue, USMCA	↔	Growth (US & RoW), inflation risk, term premium linked to tariff revenues	Executive (but constrained by courts)	Low–Medium
Foreign Policy	Iran / China esecalation, NATO cohesion	↑	ToT/energy supply, risk sentiment, global trade, de-dollarization	Executive	Low
FX Policy	Rate checks, manipulator reports, FX accords	↓	Rhetoric (jawboning, currency manipulator report), rate checks, USD swaps, trade deals	Executive (Treasury)	Low

Midterms are the US political focal point in 2H, but there are other trade / geopolitical developments as well

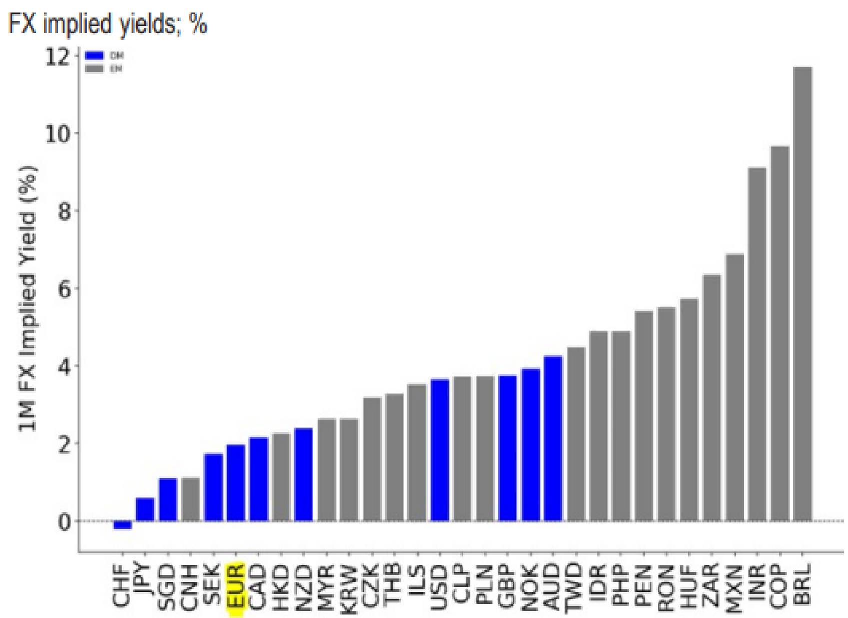
Date	US Event
7/1/2026	USMCA joint review begins
7/20/2026	3rd Round - US/MX USMCA negotiations
7/24/2026	Section 122 Tariffs expire
Mid-Aug	Deadline for final US-Iran deal
9/4/2026	Potential Trump-Xi Summit
9/30/2026	FY'27 government funding deadline
11/3/2026	US midterm elections

Source: J.P. Morgan

- Midterms dominate the US political risk calendar; USD is most sensitive to fiscal, though a hawkish Fed provides some insulation.
- USMCA delays could prove a slow burn negative for CAD (stay short CAD/MXN).
- A Trump-Xi summit should anchor a well-behaved CNY.
- A US-Iran deal breakdown is the geopolitical wildcard with USD upside tail.

EUR: keep using as a funder on softer data and lack of carry…Fed hikes have coincide with EUR/USD weakening by 15%...

FX implied yields; %



Source: J.P. Morgan

EUR/USD and ECB deposit rate – Fed Target rate

Fed hikes	EUR/USD move	# months pre hike EUR/USD peaked	Cumulative chg in EU-US policy rate (bp)	EUR/USD move/ 10bp
1999	-33%	7		
2004	26%	na	-360	0.7%
2015	-25%	18	-240	-1.0%
2022	-22%	9	-220	-1.0%

- We were already bearish EUR/USD in our recommendations and forecasts, and now lower our baseline target over the extended forecast horizon further to 1.10 (prior low 1.13) and 2H range of 1.13-1.15. 4Q'26 1.13, 2Q'27 1.10

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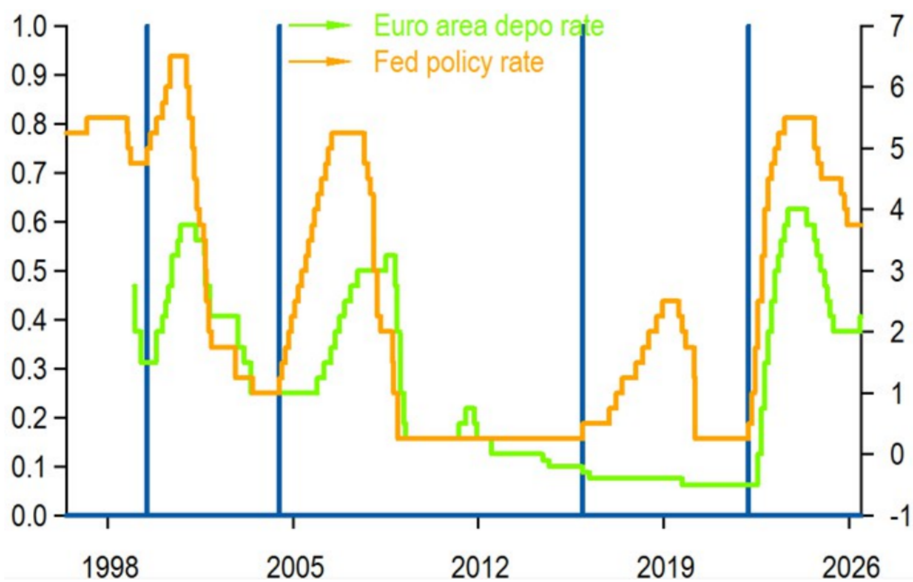
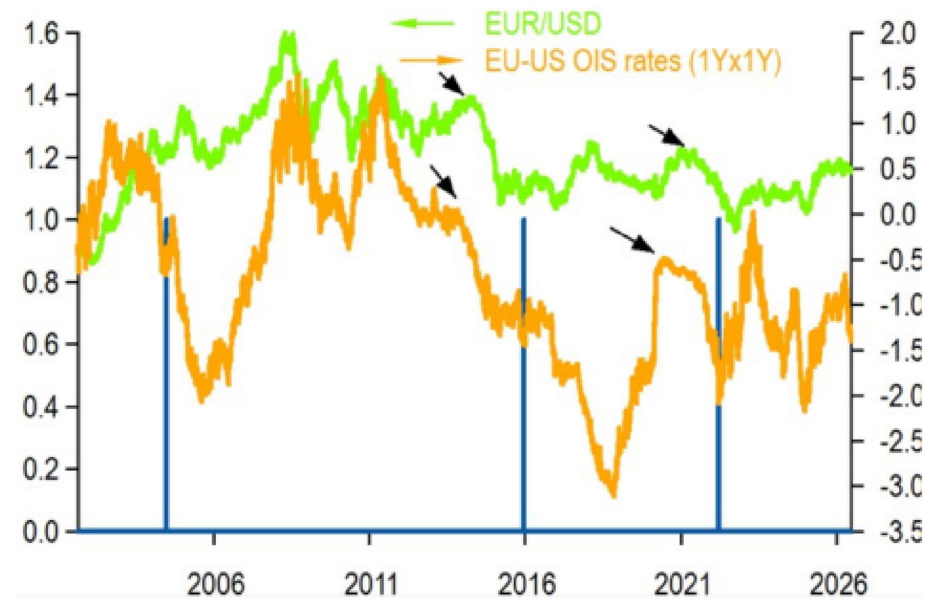
ECB hiking pre-Fed provides some but not complete insulation… rate spreads usually peak pre-FX in hiking cycles

Euro area deposit rate and Fed policy rate



Blue vertical lines signal first rate hikes.
Source: J.P. Morgan

EUR/USD and EU-US OIS rates (1Yx1Y)



Source: J.P. Morgan

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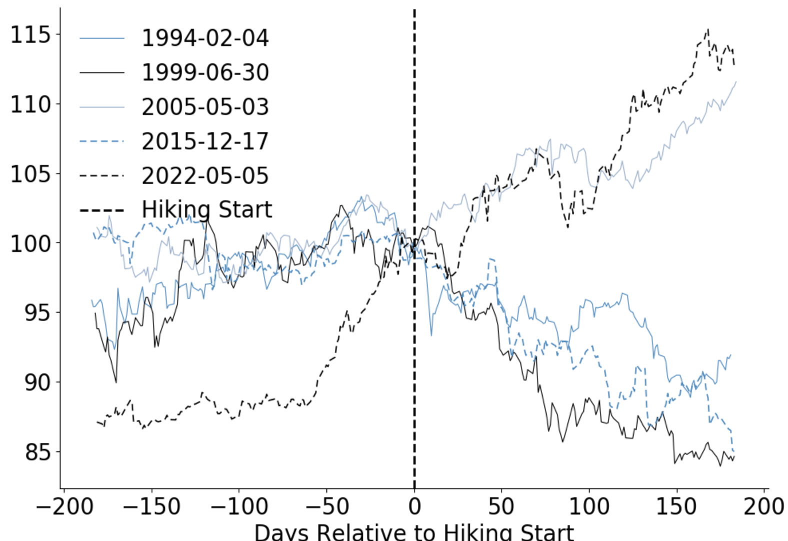
JPY: The tug-of-war between Fed hawkishness and potential GPIF changes keeps us neutral on yen; USD/JPY 4Q 164

Average percent change in USDJPY from -6 months to Fed hiking start: 4.54%



Source: J.P. Morgan, Bloomberg Finance L.P.

Japan's event risks: the coming weeks will be busy with fiscal policy-related events

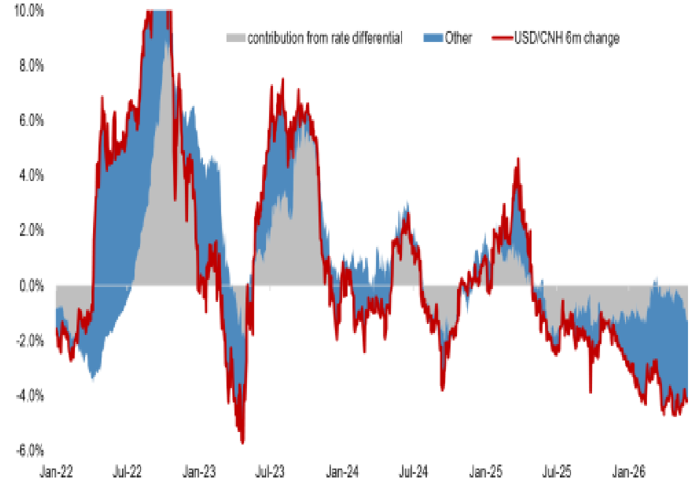
date	category	event	focus, key metrics	risk bias to JPY
By end-June	fiscal policy	A decision on a consumption tax cut on food and on a refundable tax credit.	funding source, risk of becoming permanent	negative
July?	fiscal policy	Release of "Basic Policy on Economic and Fiscal Management and Reform," which sets out the guiding principles for fiscal policy going forward. This document is expected to outline the government's growth strategy,	Suggestions for (additional) FY26 supplementary budget and FY27 general budget, funding source, assumpiton for government debt to GDP ratio	negative
Jul 31, Sep 18, Oct 30 and Dec 18	monetary policy	BoJ monetary policy meeting	We expect an Oct hike.	neutral
N/A	FX policy	MoF intervantion	We expect the size to be capped at around JPY12 trn (comparable with that for Apr/May intervention).	positive in short-term, neutral in mid-term
July 3?	others	Release of GPIF annual report	Share of domestic bonds/foreign bonds as of end-March 2026. Suggestions for possible changes in investment strategy	potentially positive for JPY and JGBs

Source: J.P.Morgan, Bloomberg Finance L.P.

- Staying bearish. Given that we expect the global monetary policy cycle, Japan's domestic policy mix, and an improvement in risk sentiment alongside a pickup in carry trades following a calming of Middle East tensions to all weigh negatively on the JPY. We forecast USD/JPY to rise above the cycle high of 162 in 2H26 (4Q 164), referencing average percent change in USDJPY from -6 months to Fed hiking start is 4.54%.
- If the uptrend accelerates, the MoF will likely conduct another round of intervention, but with the size capped near the late-April/May total (about JPY 12trn), limiting the overall impact. Despite the spike in JGB yields in 1H26, domestic investors have not shifted meaningfully into JGBs from foreign bonds.
- Japanese FM Katayama's comments signal political intent to redirect GPIF purchases toward domestic bonds; a max allowable shift to 31% JGB weight implies ~¥12tn of yen buying — comparable to April–May intervention in size, but a one-off flow unlikely to reverse the structural depreciation trend.

CNY (4Q26: 6.70; 2Q27: 6.80): A growing disconnect from rate fundamentals, but export resilience, corporate dollar selling and portfolio inflows provide bullish support

USD/CNH 6 month change and contribution from rate differential

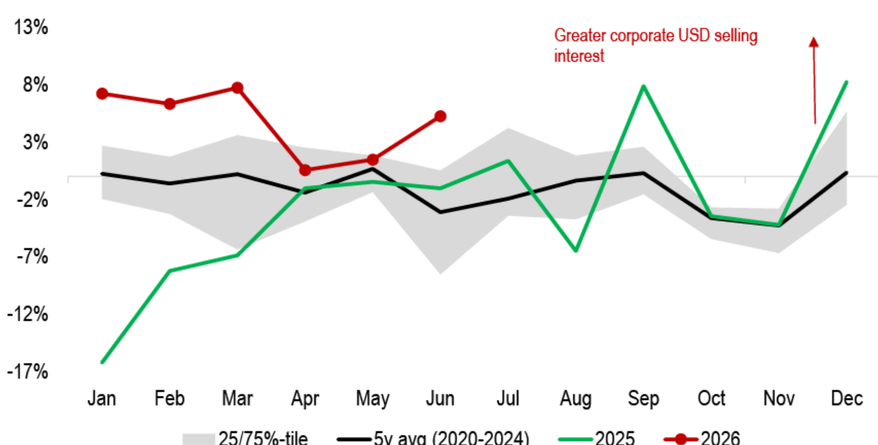


Source for both: Bloomberg Finance L.P., J.P. Morgan

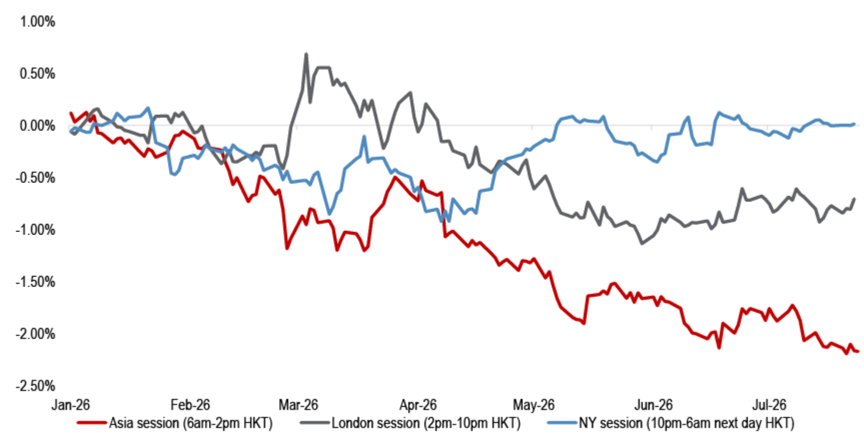
USD/CNH spot and rate fundamentals

Source for both: Bloomberg Finance L.P., J.P. Morgan

net FX settlement ratio, %-ppt
Chinese corporates have continued to sell USD, though the pace has moderated in recent months



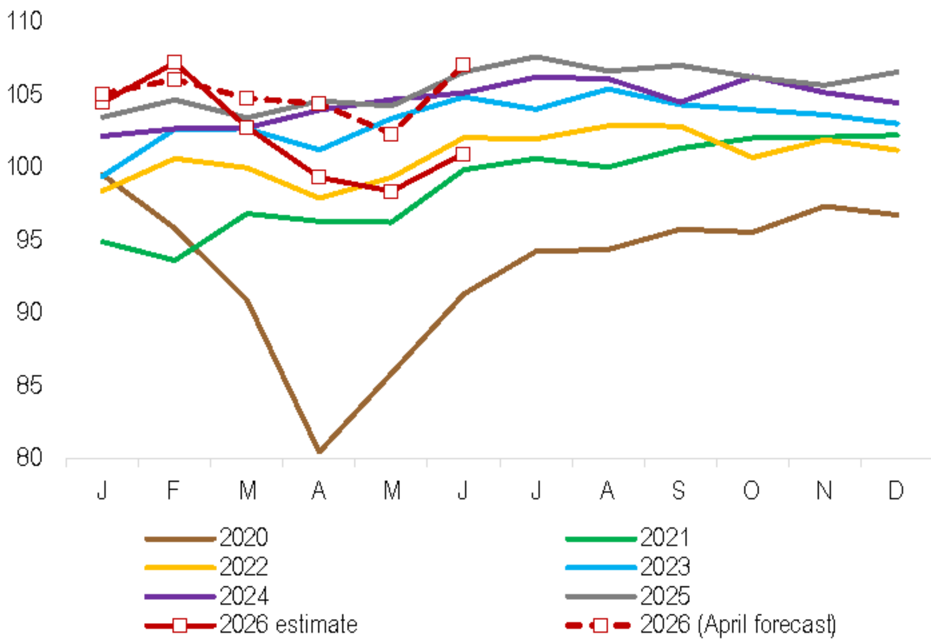
Cumulative change in USD/CNH by trading sessions



Source for both: Bloomberg Finance L.P., J.P. Morgan

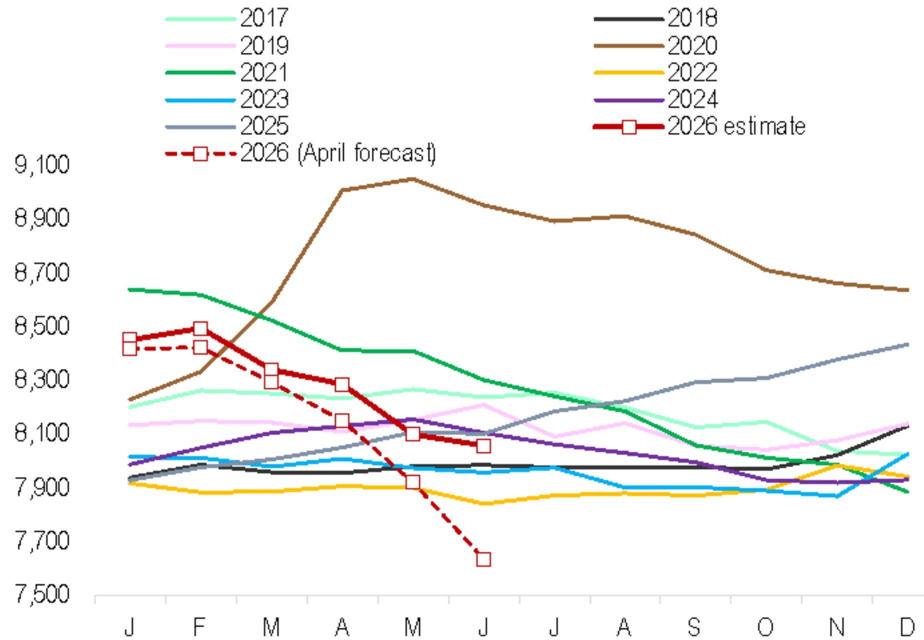
Agenda

Global oil demand estimates: April vs realized
mbd



Source: J.P. Morgan Commodities Research, Wood Mackenzie, IEA, FlightAware, EIA, MariTrace, Google, TomTom, US Department of Transportation, various company reports and government statistics.

Global oil inventories estimates: April vs realized
mb

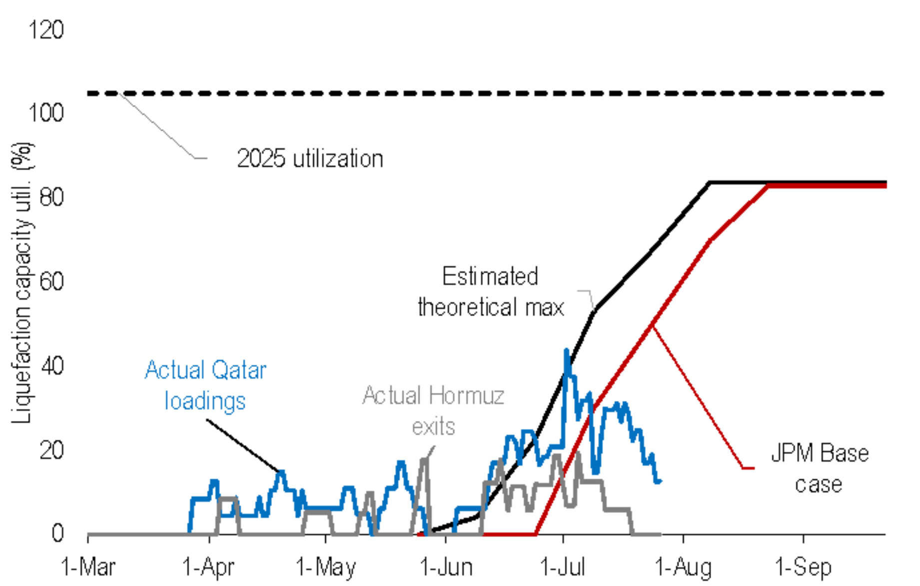


Source: Kpler, EIA, IEA, JODI, J.P. Morgan Commodities Research

- The latest escalation in the Middle East hostilities has propelled Brent up nearly 40% in July, putting it on pace for its strongest monthly gain since March. In the US, the national average gasoline price has moved decisively back above $4 per gallon for the first time since mid-June, up from $3.79 just two weeks ago. At around $90, Brent is trading just $3 above our estimated fair value for July of $87/bbl (3Q26 fair value of $86), implying that today's market appears to be pricing in only a modest geopolitical premium.
- The market rebalanced mainly through a sharp demand drop (5.1 mbd) rather than inventory draws (3.6 mbd), which tends to keep prices lower. China absorbed much of the shock by cutting imports materially, while US inventories have already been drawn down heavily. If disruptions persist, inventories would need to do more and prices would rise with duration, roughly capped near a $94 monthly average if limited to one month, but each extra month adds about $7–8/bbl (toward $114/bbl if three months). Gasoline would likely move towards $4.2 (one month) and above $4.5 (two months).

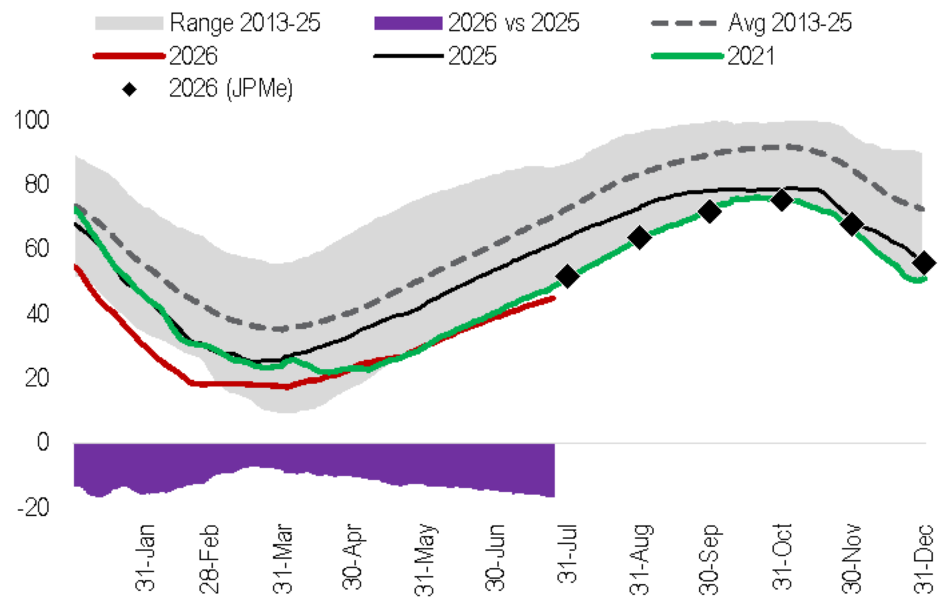
Natural Gas Markets: Middle East, what happened, what's next

Actual ramp up speed of Qatar LNG liquefaction capacity
%



Source: Bloomberg Finance L.P., Wood Mackenzie, J.P. Morgan Commodities Research. Note: Actual loadings and Hormuz exits are 7-day moving averages. Hormuz exits are based on observed number of crossings and average Qatari cargo size, includes all exits (i.e. ballast and UAE loaded cargoes).

NWE gas storage levels (2013-26)
% full



Source: AGSI, GIE, Bloomberg Finance L.P., J.P. Morgan Commodities Research

- Our current base case remains that the recent escalation ultimately de-escalates and Qatar continues ramping LNG output. However, LNG transit through Hormuz has virtually halted again, while Qatar loadings effectively acting as floating storage rather than reaching end markets.
- The key question now is how quickly the current escalation can be resolved, and whether Qatar may be forced to shut down production again. We think Qatar could reach "tank-full" within the next 2-3 weeks, potentially forcing production to shut down again or drop materially.
- Meanwhile, Europe's balance is tightening, almost irrespective of Qatar's ramp up timeline, with storage at the lowest level on record for this time of year and end-October NWE storage forecasted at 75% (only comparable to the low levels ahead of winter 2021-22).

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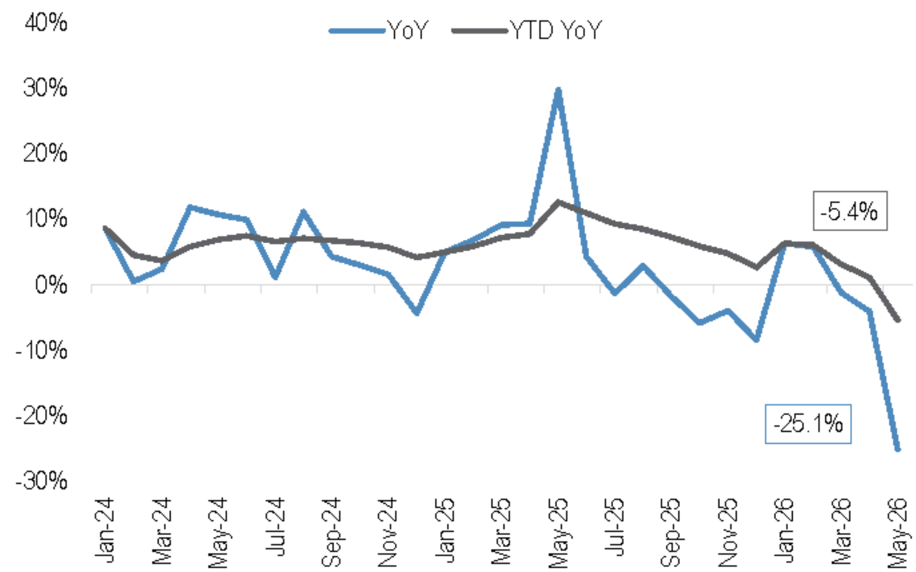
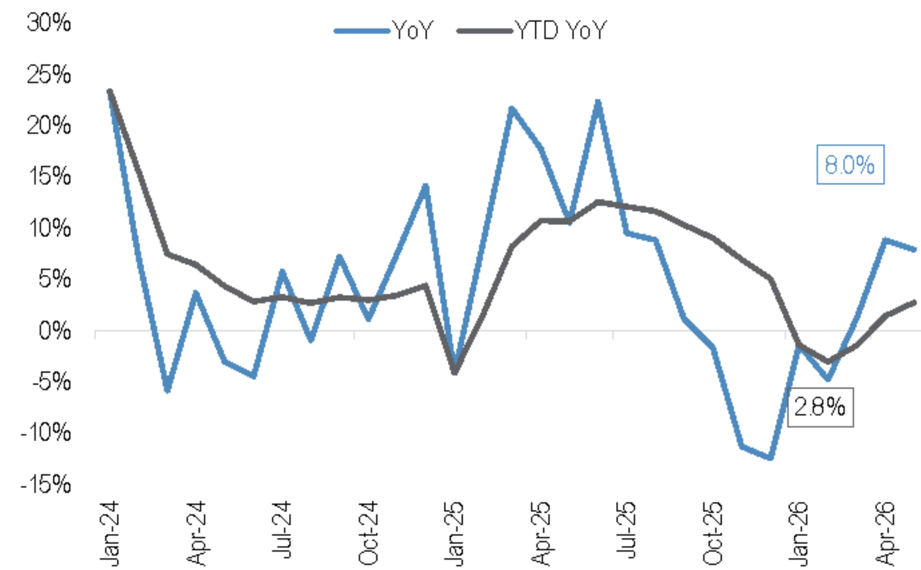
Metals Markets: While market awaits tariff update, China keeps buying copper

Consumption-weighted end use indicator for Chinese copper demand growth
LHS: Percent change, yoy; RHS: Percent change, YTD yoy



Source: China National Energy Administration, China Automotive Tech and Research Center, Tianjin, NBS, China Customs, Bloomberg Finance L.P., J.P. Morgan Commodities Research. Note: This indicator applies consumption-weights to underlying reported end-use production/installation/export growth figures to derive an estimate for monthly aggregate Chinese copper demand growth. It covers construction, grid, solar, wind, EVs, other transport, consumer durables, ACs/refrigeration, machinery and product and cable exports which, combined, roughly account for 90% of Chinese end use demand. Data through May 2026.

China copper apparent demand growth
Percent change



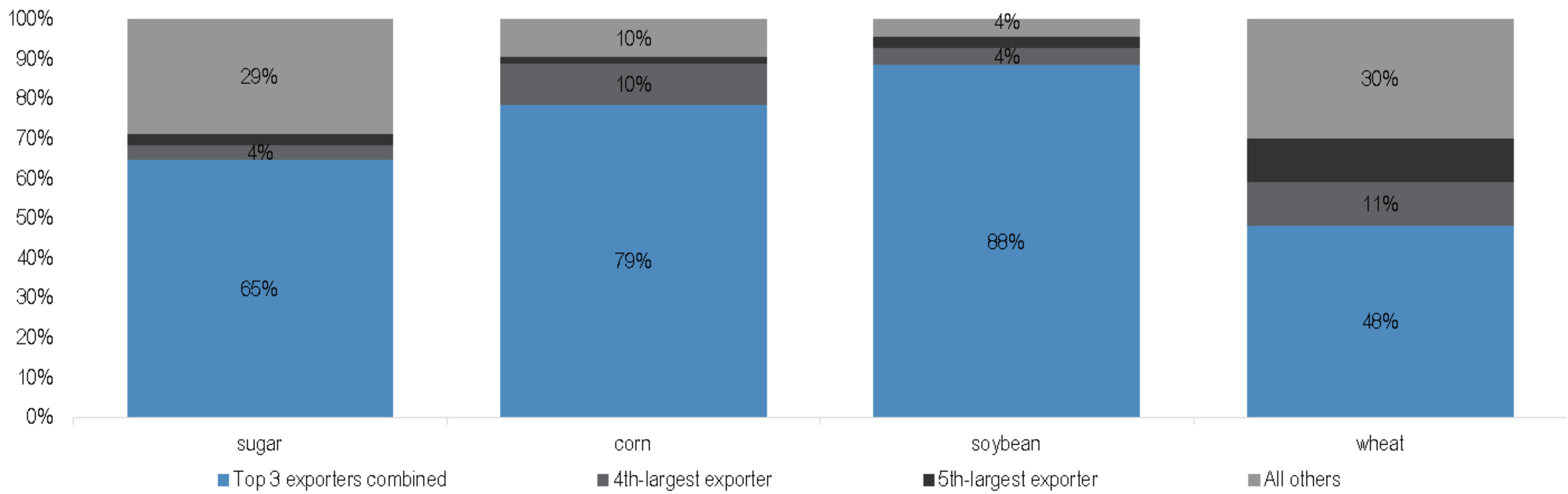
Source: China National Energy Administration, China Automotive Tech and Research Center, Tianjin, NBS, China Customs, Bloomberg Finance L.P., J.P. Morgan Commodities Research. Note: Apparent demand is calculated as (Imports-Exports)+Production-Monthly stock changes on the SHFE. Data through May 2026.

- Our consumption-weighted end-use indicator for Chinese copper demand declined sharply in May to now register at -5% yoy YTD through 5M26. Significant weakness was maintained across construction while renewable installations faced a final month in May of an extremely elevated base level last year given the rush to install capacity before June 2025 when the tariff rate for wind and solar installations moved off the more advantageous fixed-price tariff system.
- Adding to the outsized yoy weakness in May, grid investment also came in well below a uniquely strong May 2025 base level, likely tied in with the massive renewable rush last year. Nonetheless, YTD grid investment is still around +13% yoy through May and the particularly strong base level effects in renewables and grid will largely fade from June onwards.

J.P.Morgan

Agriculture: Potential El Niño impact on agricultural markets

Top exporters' share of global exports for key agricultural commodities
%



Source: Green Pool Commodities, USDA, J.P. Morgan Commodities Research. Note: Top 5 exporters of sugar in descending order: Brazil, Thailand, India, Australia, EU; Top 5 exporters of corn in descending order: US, Brazil, Argentina, Ukraine, Russia. Top 5 exporters of soybean in descending order: Brazil, US, Argentina, Paraguay, Canada; Top 5 exporters of wheat in descending order: Russia, EU, Canada, Australia, US.

- NOAA's latest ENSO Advisory highlights continuing El Niño conditions and expects it to strengthen through the end of the year, with a 97% chance of it persisting through early spring in 2027. NOAA also highlights a 81% chance of a very strong El Niño during October-December, potentially the largest El Niño event since 1950. Impacts from such weather events on agricultural markets stem from shifts in global rainfall patterns, which can affect planting windows, crop development, and harvest quality, ultimately reshaping yield expectations and export availability.
- Amongst major agricultural commodities, sugar is particularly exposed to El Niño because its key supply regions—India, Thailand, and Centre-South Brazil (together account for roughly 65% of global exports)—face weather risks simultaneously but through different channels. Corn, wheat and soy are also potentially affected, however the impact is more mixed. While El Niño can reduce yields through droughts in Asia/Australia and excessive rain in parts of the Latin America, US yields could potentially benefit from cooler and wetter late-summer conditions.

Agenda

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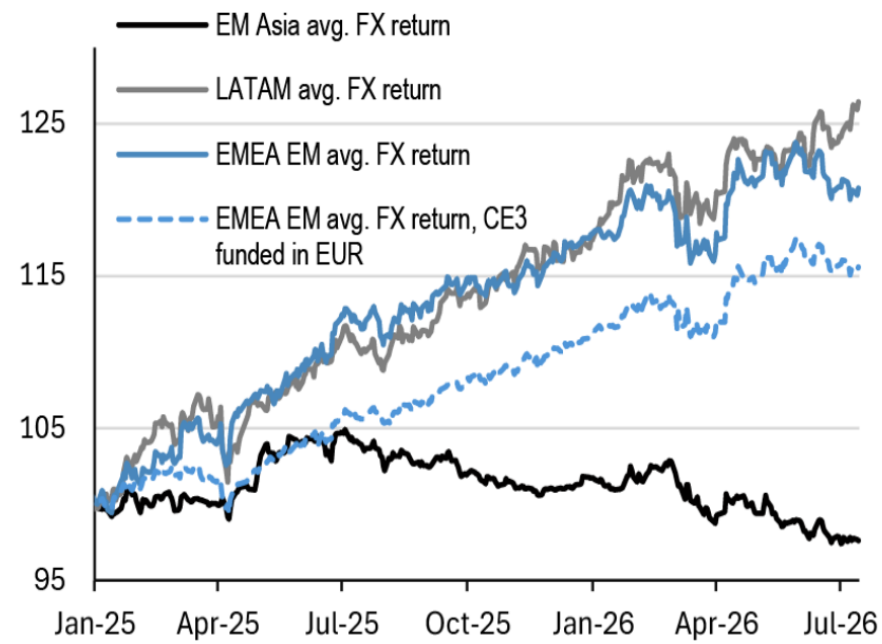
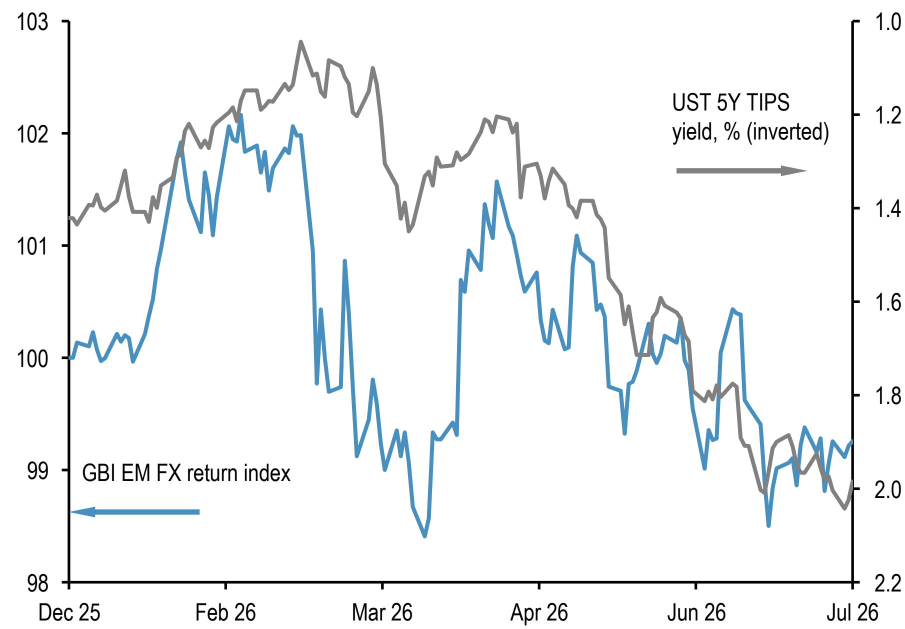
We remain OW EM FX with a focus on carry and/or hawkish central banks in EMEA EM and Latam vs. UW in EM Asia

EMEA EM performance has recently alligned closer to EM Asia, while Latam has outperformed in part thanks to strong COP returns



Source: J.P. Morgan, Bloomberg Finance L.P.

The rise in US real yields has weighed on EM FX



Source: J.P. Morgan, Bloomberg Finance L.P.

- The two key risks, Fed outlook and energy prices, have kept a lid on EM FX since our mid-year outlook, with GBI-EM FX delivering -0.3% in spot terms and 1% in total return terms.
- **Our own portfolio continues to exploit that long high carry vs. short low carry currencies tends to be a robust strategy for a moderately inflationary, hawkish monetary environment. Interestingly, in the latest performance, EMEA EM has started to lag on Latam with performance somewhat closer aligned with EM Asia.**
- **We recently closed OW CLP and ZAR. Regionally, this now leaves us OW Latam, MW EMEA EM and UW EM Asia, with the combined changes reducing our overall GBI-EM FX OW by half.**

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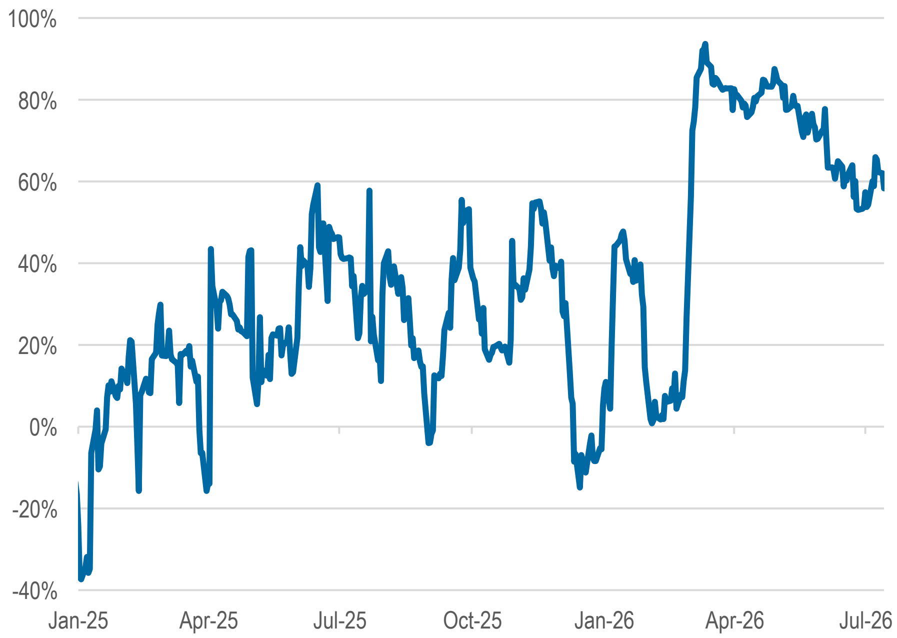
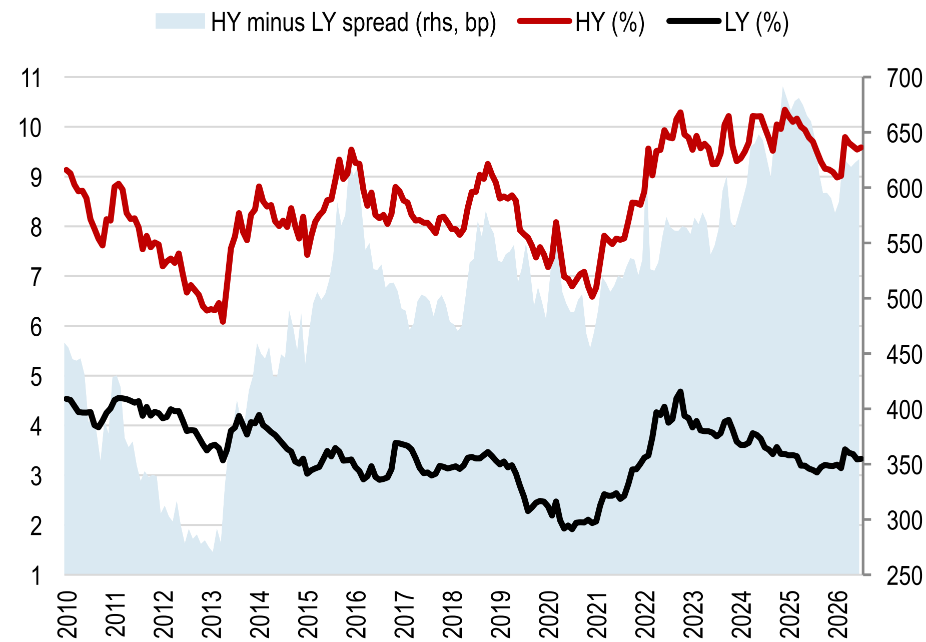
Multiple cross-currents for EM rates make it hard to take strong directional views. Stay MW EM Rates in the GBI-EM Model Portfolio, but position for HY-LY compression

21d rolling correlation of GBI-EM yields to 1m fwd oil prices (using daily changes)



Source: J.P. Morgan, Bloomberg Finance L.P.

GBI-EM GD weighted high-yield (HY) and low-yield (LY) yields



Source: J.P. Morgan.

- With EM rates correlations to oil prices still high and positive (albeit off the peak), this makes it hard to be too directional. The risks of a hawkish Fed/extended Fed hiking cycle are a potentially large headwind for EM rates into the next FOMC meeting. EM macro cross-currents of strong growth, sticky core inflation but downside headline inflation surprises and ongoing FX strength call for mixed EM central bank outlooks, and therefore mixed country-level rates stances.
- We still see the macro environment for EM rates as procyclical, but now with lower medium-term energy risks. This argues for a softer EM reflation view (we have taken profit on remaining linker expressions in Mexico).
- Instead, we see the best trade as positioning for HY-LY EM rates spread compression (a pro-carry stance), following the widening of the GBI-EM weighted spread since the start of the conflict. **At the top-down level, we are OW Hungary, Colombia and Mexico, funded with UWs in Thailand, Peru and Chile.**

J.P.Morgan

GBI-EM Model Portfolio: We remain OW EM FX and MW EM rates

GBI-EM Model Portfolio and YTD performance

GBI-EM Model Portfolio and YTD Performance

Portfolio Attribution YTD (bp)	Bonds	FX	Total
Country positions	+12	+23	**+35**
Overlay contribution	+6	-3	**+3**
Final portfolio	**+18**	**+20**	**+38**

Portfolio Positions	Bond CTD	Bond Weight	FX Weight
Country positions	0.025	1.59%	2.75%
Overlay position	0.000	-0.66%	-
Final portfolio	**0.025**	**0.93%**	**2.75%**

Annualized TEV (bp)	**+55**	Annualized vol of final portfolio active positions (inc. overlays)
1-month VaR (bp)	**-29**	Portfolio excess return at the 5th percentile over 1-month period. Historical VaR is -30bp

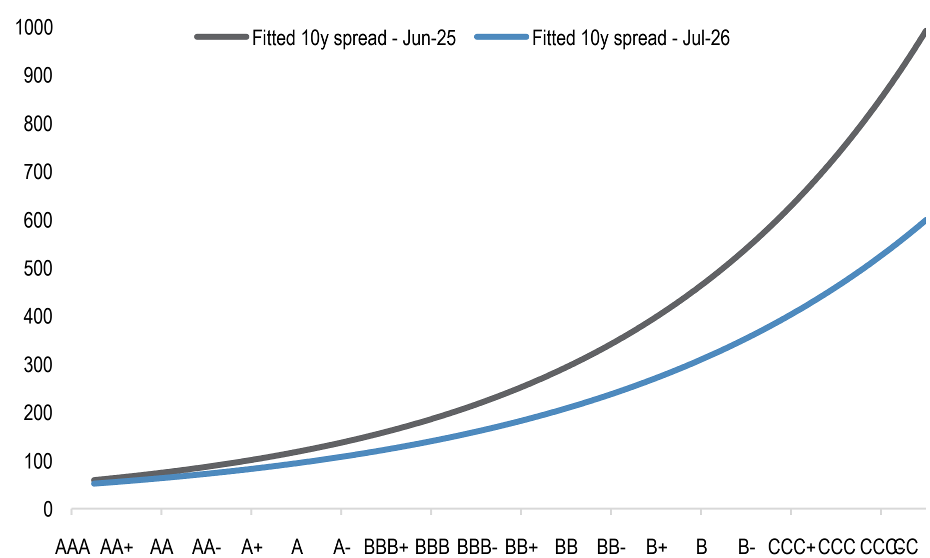
	Final positions		*Country positions*			*YTD excess returns (country positions, bp)*		
	Bond View	**FX View**	**Bond CTD**	**Bond Weight**	**FX Weight**	**Bonds**	**FX**	**Total**
GBI-EM	MW	OW	0.025	+1.59%	+2.75%	+12	+23	+35
EM Asia	UW	UW	(0.100)	-1.65%	-1.00%	-2	+4	+2
EMEA EM	OW	OW	0.100	+2.21%	+1.00%	+19	+10	+29
Latin America	MW	OW	0.025	+1.46%	+2.75%	-6	+10	+4
China	MW	MW	-	-	-	-	-	-
India	MW	MW	-	-	-	-	+0	+0
Indonesia	MW	MW	-	-	-	-	-	-
Malaysia*	MW	MW	-	-	-	-	-1	-1
Thailand	UW	UW	(0.100)	-1.65%	-1.00%	-2	+5	+3
Czech Republic	MW	OW	-	-	+0.75%	-	+1	+1
Hungary	OW	OW	0.100	+2.21%	+1.50%	+15	+11	+26
Poland	MW	MW	-	-	-	-4	-8	-12
Romania	MW	MW	-	-	-	+7	-0	+7
Turkey	MW	MW	-	-	-	-	+5	+5
Serbia	MW	UW	-	-	-1.25%	-	+1	+1
South Africa	MW	MW	-	-	-	+1	+0	+2
Brazil	MW	MW	-	-	-	-12	-1	-12
Chile	UW	OW	(0.075)	-1.48%	+0.50%	+1	-0	+1
Colombia	OW	OW	0.100	+2.38%	+1.00%	+1	-0	+1
Dominican Republic	MW	MW	-	-	-	+4	+6	+10
Mexico	OW	OW	0.100	+2.07%	+1.00%	-0	+5	+5
Peru	UW	MW	(0.125)	-1.94%	-	-1	-1	-2
Uruguay	MW	MW	-	-	-	-	-	-
Paraguay	OW	OW	0.025	+0.43%	+0.25%	+1	+0	+1

*FX carry returns calculated using T-Bills (up to 3m)

Source: J.P. Morgan; YTD statistics as of 24-Jul-26 COB. *FX returns calculated using Malaysia T-bills (up to 3m).

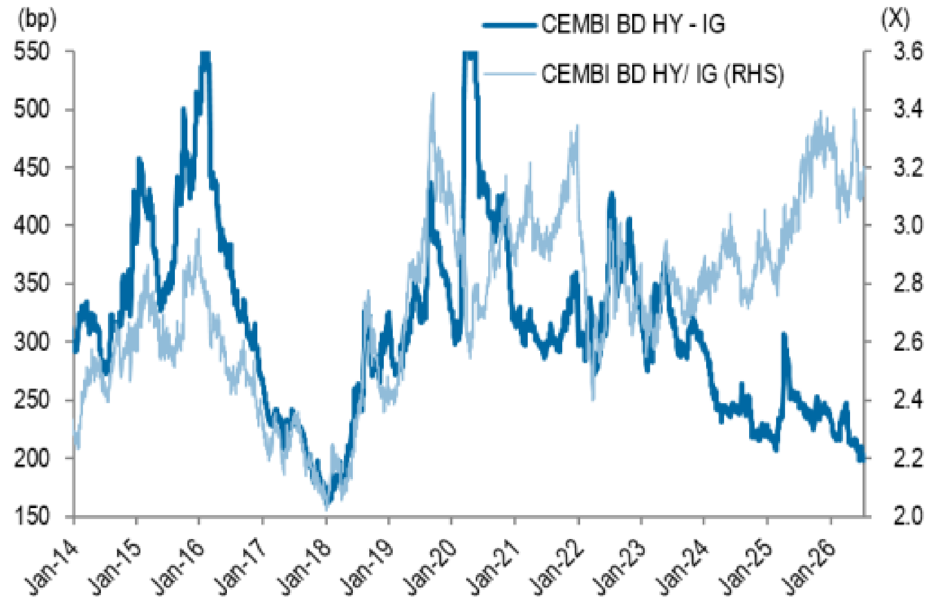
We stay MW overall the EMBIGD in our model portfolio, but we are increasingly looking to surf idiosyncratic stories even where mispricing is minimal given overall tight spread levels

Fitted 10y spreads of EM sovereigns vs credit rating in June 2025 and July 2026



Source: J.P. Morgan. Note: For calculating fitted10y spread vs credit rating, we use the same methodology as in Spread vs Ratings report.

CEMBI BD HY-IG spread basis and multiple



Source: J.P. Morgan.

- The EM IG vs HY spread compression opportunities have largely played out with the spread pick up on moving lower in the credit rating bucket now much narrower than 1y back. That said, we do have more HY OWs and IG UWs, reflecting a spread compression bias, but more selectivity. **Our HY idiosyncratic OWs are mostly in the Latam space (Argentina and Ecuador), while we play more relative value elsewhere.**
- **We are OW Colombia vs UW Brazil, OW Egypt vs UW Nigeria, OW KSA vs UW Oman. We remain OW South Africa and UW Indonesia, Poland and Uruguay. We now also move UW Armenia on tight valuations in the Model Portfolio.**
- Amidst the compression in overall spreads, the basis between CEMBI HY-IG also tightened to about 200bp but is still well off the 150bp level reached in early 2018. Moreover, the HY/IG multiple at above 3x is at the higher end of the historical range. **We find that the headline spread differential suggests HY valuations are not that demanding from a relative standpoint, and we have been OW BBB and BB within our CEMBI segment recommendations.**

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EMBIGD Model Portfolio: Remain MW - Valuations not exciting, but spread widening risks not troubling

Portfolio Returns YTD	
Benchmark return	1.77%
Portfolio return	2.16%
Portfolio Performance (bp)	39
Portfolio return -12 months-	10.2%
Benchmark return -12 months-	9.2%

Portfolio Attribution YTD	
Market position return (bp):	4
Credit selection return (bp):	36
Portfolio Outperformance (bp):	39

		As of July 24, 2026			Since Initiation		YTD Changes & Returns				
Credit selection returns	**View**	**Current Position**	**Spread**	**Duration**	**Initiation Date**	**Spread Chg vs EMBIG (bp)**	**Spread Chg (bp)**	**Spread Chg vs EMBIG (bp)**	**Spread Returns (bp)**	**Carry Returns (bp)**	**Credit Returns (bp)**
Argentina	OW	1.0%	437	4.6	3-Oct-24	(725)	(123)	(114)	4	2	6
Colombia	OW	1.0%	187	6.1	8-Jun-26	(22)	(12)	(22)	1	(0)	1
Ecuador	OW	1.0%	415	5.4	25-Nov-25	(188)	(77)	(68)	5	1	7
Egypt	OW	1.0%	364	5.9	8-Apr-26	(56)	(96)	(56)	2	0	2
Saudi Arabia	OW	1.0%	93	6.1	8-May-26	2	10	2	(1)	(0)	(1)
South Africa	OW	1.0%	205	7.8	28-May-26	(5)	1	(5)	(0)	(0)	(0)
Brazil	UW	-0.5%	176	6.7	8-Jun-26	(7)	4	(7)	0	0	0
Indonesia	UW	-0.5%	89	7.0	29-Oct-24	116	29	39	5	1	7
Nigeria	UW	-1.0%	258	5.7	28-May-26	(16)	(10)	(16)	(1)	(0)	(1)
Oman	UW	-1.0%	97	5.5	8-May-26	8	16	8	1	0	1
Paraguay	UW	-0.5%	106	8.8	22-Jul-26	(2)	6	(2)	0	0	0
Poland	UW	-1.3%	84	7.4	8-Apr-26	24	(16)	24	2	1	3
Republic of Armenia	UW	-0.2%	135	4.7	16-Jul-26	(13)	(7)	(13)	(0)	0	(0)
Uruguay	UW	-1.0%	63	8.9	18-Feb-26	(11)	(11)	(11)	(0)	1	1
Closed position return (bp):		9.7					Current Credit selection return(bp)				26

Source: J.P. Morgan

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Agenda

Global economic outlook summary

	Real GDP % over a year ago			Real GDP % over previous period, saar						Consumer prices % over a year ago			
	2025	2026	2027	1Q26	2Q26	3Q26	4Q26	1Q27	2Q27	4Q25	2Q26	4Q26	2Q27
United States	2.1	2.1	2.0	2.1	2.0	1.8	1.8	2.3	2.3	2.7	3.8	**3.6** ↑	1.9
Canada	1.9	**0.6** ↑	**1.6** ↑	-0.1	**2.0** ↑	1.4	1.4	1.7	1.7	2.2	**3.0** ↓	**2.7** ↑	**1.6** ↑
Latin America	2.1	1.9	1.8	1.6	**3.1** ↓	**1.7** ↓	**1.6** ↓	**2.2** ↑	**1.3** ↓	3.9	4.3	**4.4** ↓	3.8
Argentina	4.4	**2.7** ↓	**3.0** ↓	3.0	**-1.5** ↓	**3.8** ↓	**4.5** ↑	**4.0** ↑	**2.0** ↓	31.8	32.8	29.4	20.5
Brazil	2.3	2.0	1.3	4.5	2.0	1.2	1.0	2.4	0.4	4.5	4.6	4.9	3.8
Chile	2.5	1.0	3.2	-1.1	1.0	5.0	3.5	2.5	3.0	3.4	4.0	3.8	3.4
Colombia	2.6	2.6	1.5	2.4	2.5	1.5	0.5	1.5	2.0	5.3	5.8	6.2	5.9
Ecuador	3.7	3.0	2.0	4.5	0.3	1.0	2.0	3.0	2.3	1.4	1.9	2.2	1.5
Mexico	0.5	**1.4** ↑	1.7	-2.4	**7.0** ↑	**0.7** ↓	**1.0** ↓	**1.2** ↑	**1.5** ↓	3.7	**3.9** ↓	**3.7** ↓	**3.5** ↓
Peru	3.4	3.0	2.9	2.4	2.5	4.0	2.5	3.5	2.7	1.4	4.0	4.1	3.2
Uruguay	1.8	1.1	1.4	3.2	0.4	0.0	1.0	1.3	0.0	4.0	3.1	4.3	5.1
Asia/Pacific	4.5	4.2	**3.9** ↑	5.6	2.7	3.7	4.1	**4.1** ↑	**4.1** ↑	1.2	2.0	2.3	2.0
Japan	1.1	0.8	1.0	1.8	1.3	1.0	1.3	1.0	0.7	2.7	1.5	**2.9** ↓	3.5
Australia	2.0	2.0	1.8	1.1	1.6	1.5	1.9	1.5	1.7	3.6	4.1	4.1	3.6
New Zealand	0.2	2.1	2.3	3.2	1.2	3.4	1.2	4.0	1.0	3.1	3.8	3.7	2.4
EM Asia	5.2	4.9	4.4	6.5	3.0	4.2	4.7	4.6	**4.7** ↑	0.9	1.9	2.1	1.7
China	5.0	4.6	4.3	6.3	2.4	4.3	4.9	4.5	4.5	0.6	1.1	1.0	0.7
India	7.7	6.5	6.3	8.0	5.1	5.0	6.2	6.3	6.7	0.8	4.1	5.6	5.5
Ex China/India	4.0	4.8	**3.8** ↑	**6.1** ↑	**3.6** ↑	3.4	3.2	**4.1** ↑	**4.1** ↑	1.8	2.8	3.2	2.2
Hong Kong	3.6	3.4	2.9	12.2	3.0	2.8	2.8	3.0	2.8	1.3	1.6	1.7	1.6
Indonesia	5.1	4.7	4.9	5.7	3.6	3.0	2.6	6.2	6.1	2.8	2.9	3.5	2.6
Korea	1.1	**3.8** ↑	**3.3** ↑	7.5	**2.5** ↑	4.0	3.0	**3.5** ↑	**3.5** ↑	2.4	3.0	3.5	2.6
Malaysia	5.2	5.3	**4.5** ↑	**1.7** ↑	8.5	5.0	4.5	4.0	4.0	1.4	2.0	2.1	1.8
Philippines	4.4	4.0	5.6	3.8	4.9	5.7	8.2	4.1	5.5	1.7	6.8	6.5	3.8
Singapore	5.0	4.6	2.5	5.3	4.6	1.0	1.0	3.0	3.0	1.2	1.7	2.4	1.9
Taiwan	8.8	9.9	3.7	6.9	4.5	3.2	3.2	4.0	4.0	1.3	2.1	2.2	1.7
Thailand	2.4	2.8	2.5	2.7	0.8	2.8	2.8	2.8	2.4	-0.5	2.7	3.1	**0.6** ↓
Western Europe	1.5	0.6	**1.4** ↑	-0.3	**1.2** ↑	1.0	1.4	1.5	1.5	2.3	2.9	2.9	2.1
Euro area	1.5	**0.5** ↑	**1.4** ↑	-0.9	**1.0** ↑	1.0	1.5	1.5	1.5	2.1	3.0	2.9	2.0
Germany	0.3	**1.0** ↑	**1.6** ↑	1.4	**1.3** ↑	1.3	1.8	1.8	1.8	2.3	2.6	2.4	2.1
France	0.9	**0.6** ↑	1.0	-0.4	**0.5** ↑	0.5	1.3	1.3	1.0	0.8	2.4	2.3	1.4
Italy	0.7	**0.8** ↑	0.6	1.1	**0.5** ↑	0.5	0.8	0.8	0.5	1.2	3.0	3.8	1.9
Spain	2.8	2.4	1.8	2.5	2.0	2.0	2.0	1.8	1.8	3.1	3.6	3.6	2.9
Norway	1.7	1.0	1.6	0.6	1.4	1.8	1.8	1.8	1.5	3.1	3.1	3.1	2.5
Sweden	1.7	2.1	2.0	-0.6	4.0	2.0	2.3	2.0	1.8	0.5	0.4	0.9	1.8
United Kingdom	1.3	1.2	1.2	2.5	1.5	0.8	1.0	1.6	1.2	3.4	2.8	3.0	2.7
EMEA EM	2.1	1.8	2.8	-0.6	**3.2** ↑	**3.1** ↑	3.1	2.6	2.4	10.6	10.4	**9.7** ↑	**8.5** ↑
Czech Republic	2.5	**2.3** ↑	**2.3** ↑	0.8	**3.0** ↑	**2.5** ↑	2.5	2.1	2.1	2.2	**2.0** ↓	**1.9** ↓	1.9
Hungary	0.4	**2.3** ↑	**3.0** ↑	3.2	**3.5** ↑	**2.5** ↑	**2.8** ↑	3.0	3.3	3.8	1.9	**2.1** ↑	**3.0** ↑
Israel	2.9	3.6	4.2	-3.8	10.5	5.5	3.8	3.5	3.5	2.5	1.8	1.6	1.5
Poland	3.6	3.4	2.9	2.4	4.3	3.3	3.0	2.8	2.5	2.6	2.9	**3.2** ↑	**3.3** ↑
Romania	0.7	0.0	3.0	0.0	3.4	3.6	3.2	2.8	2.4	9.7	10.7	5.4	4.3
Russia	1.0	0.4	1.6	-3.1	1.0	1.3	2.5	1.3	1.5	6.6	5.6	6.3	6.0
South Africa	1.1	1.1	1.4	2.2	0.0	1.5	1.2	1.6	1.6	3.6	4.5	**4.4** ↑	3.1
Türkiye	3.6	3.0	4.6	0.5	4.0	5.5	4.6	4.5	3.5	31.6	**32.4** ↑	29.0	**24.4** ↑
Global	2.8	2.5	2.5	2.6	**2.2** ↑	2.3	2.6	2.7	2.7	2.7	3.4	3.4	2.5
Developed markets	1.8	1.4	1.7	1.1	**1.6** ↑	1.4	1.6	1.9	1.8	2.6	3.3	**3.3** ↑	**2.2** ↑
Emerging markets	4.2	4.0	3.8	4.7	3.1	3.7	4.0	**4.0** ↑	**3.9** ↑	2.8	3.5	3.6	3.0
Emerging ex China	3.6	3.5	3.4	**3.4** ↑	3.6	**3.1** ↓	3.3	**3.5** ↑	**3.4** ↑	4.7	5.6	5.8	**5.0** ↑
Global — PPP weighted	3.3	2.9	3.0	3.1	2.4	2.6	3.0	**3.1** ↑	3.0	2.9	3.7	3.8	**3.0** ↑

Source: Government agencies and J.P. Morgan Global Economics. Details on request. Note: For some emerging economies seasonally adjusted GDP data are estimated by J.P. Morgan. Bold denotes changes from last edition of *Global Data Watch*, with arrows showing the direction of changes. Underline indicates beginning of J.P. Morgan forecasts. Unless noted, concurrent nominal GDP weights calculated with current FX rates are used in computing our global and regional aggregates. Regional CPI aggregates exclude Argentina and Ecuador. Source: J.P. Morgan. Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China; Hong Kong SAR (China) and Taiwan (China).

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Global Central Bank Watch

	Official rate	Current rate (%pa)	4-qrtr change (bp) Last	4-qrtr change (bp) Next	Last change	Next mtg	Forecast next change	Forecast (%pa) Sep 26	Dec 26	Mar 27	Jun 27	Sep 27
Global		3.97	-44	-9				4.00	3.97	3.93	3.90	3.88
excluding US		4.06	-27	-24				4.11	4.06	4.01	3.96	3.82
Developed		3.08	-36	16				3.16	3.19	3.19	3.19	3.24
Emerging		5.27	-57	-46				5.26	5.12	5.03	4.94	4.81
Latin America		10.02	-69	-56				9.85	9.86	9.89	9.69	9.46
EMEA EM		14.68	-293	-230				14.59	13.88	13.19	12.71	12.38
EM Asia		2.34	-3	-3				2.38	2.34	2.36	2.37	2.31
The Americas		4.53	-73	12				4.50	4.51	4.51	4.48	4.65
United States	Fed funds	3.75	-75	25	10 Dec 25 (-25bp)	29 Jul 26	Sep 27 (+25bp)	3.75	3.75	3.75	3.75	4.00
Canada	O/N rate	2.25	-50	0	29 Oct 25 (-25bp)	2 Sep 26	On hold	2.25	2.25	2.25	2.25	2.25
Brazil	SELIC O/N	14.25	-75	-150	17 Jun 26 (-25bp)	5 Aug 26	Aug 26 (-25bp)	13.75	13.75	13.75	13.25	12.75
Mexico	Repo rate	6.50	-155	0	7 May 26 (-25bp)	6 Aug 26	On hold	6.50	6.50	6.50	6.50	6.50
Chile	Disc rate	4.50	-25	75	16 Dec 25 (-25bp)	28 Jul 26	1Q27 (+25bp)	4.50	4.50	4.75	5.00	5.25
Colombia	Repo rate	12.00	275	-25	30 Jun 26 (+75bp)	31 Jul 26	Jul 26 (+50bp)	12.50	12.50	12.50	12.25	11.75
Peru	Reference	4.25	-25	100	11 Sep 25 (-25bp)	13 Aug 26	7 Oct 26 (+25bp)	4.25	4.50	4.75	5.00	5.25
Europe/Africa		5.33	-60	-52				5.46	5.34	5.18	5.03	4.81
Euro area	Depo rate	2.25	25	0	11 Jun 26 (+25bp)	10 Sep 26	Sep 26 (+25bp)	2.50	2.50	2.50	2.50	2.25
United Kingdom	Bank rate	3.75	-50	0	18 Dec 25 (-25bp)	30 Jul 26	Nov 26 (+25bp)	3.75	4.00	4.00	3.75	3.75
Norway	Dep rate	4.25	0	0	7 May 26 (+25bp)	13 Aug 26	Sep 26 (+25bp)	4.50	4.50	4.50	4.25	4.25
Sweden	Repo rate	1.75	-25	25	23 Sep 25 (-25bp)	20 Aug 26	Dec 26 (+25bp)	1.75	2.00	2.00	2.00	2.00
Czech Republic	2-wk repo	3.75	25	25	18 Jun 26 (+25bp)	6 Aug 26	Aug 26 (+25bp)	4.00	4.00	4.00	4.00	4.00
Hungary	Base rate	**5.75**	-75	-100	21 Jul 26 (-25bp)	25 Aug 26	Jul 26 (-25bp)	5.25	5.00	4.75	4.75	4.75
Israel	Base rate	3.50	-100	-50	6 Jul 26 (-25bp)	1 Sep 26	Sep 26 (-25bp)	3.25	3.00	3.00	3.00	3.00
Poland	7-day interv	3.75	-125	0	4 Mar 26 (-25bp)	2 Sep 26	On hold	3.75	3.75	3.75	3.75	3.75
Romania	Base rate	6.50	0	-50	7 Aug 24 (-25bp)	10 Aug 26	May 27 (-25bp)	6.50	6.50	6.50	6.25	6.00
Russia	Key pol rate	**14.00**	-400	-275	24 Jul 26 (-25bp)	11 Sep 26	Jul 26 (-25bp)	13.75	13.00	12.25	11.50	11.25
South Africa	Repo rate	7.00	-25	0	28 May 26 (+25bp)	23 Sep 26	**Sep 26 (+25bp)**	7.25	7.25	7.25	**7.25**	**7.00**
Türkiye	1-wk repo	37.00	-600	-600	22 Jan 26 (-100bp)	10 Sep 26	**22 Oct 26 (-100bp)**	**37.00**	35.00	33.00	32.00	31.00
Asia/Pacific		2.29	6	2				2.32	2.32	2.34	2.38	2.32
Australia	Cash rate	4.35	50	-25	5 May 26 (+25bp)	11 Aug 26	Aug '27 (-25bp)	4.35	4.35	4.35	4.35	4.10
New Zealand	Cash rate	2.50	-75	75	8 Jul 26 (+25bp)	2 Sep 26	Sep 26 (+25bp)	2.75	3.00	3.25	3.25	3.25
Japan	O/N call rate	1.00	52	50	16 Jun 26 (+25bp)	31 Jul 26	Oct 26 (+25bp)	1.00	1.25	1.25	1.50	1.50
Hong Kong	Disc. wndw	4.00	-75	25	10 Dec 25 (-25bp)	-	Sep 27 (+25bp)	4.00	4.00	4.00	4.00	4.25
China	7-day rev repo	1.40	0	-20	7 May 25 (-10bp)	-	4Q 26 (-10bp)	1.40	1.30	1.30	1.30	1.20
Korea	Base rate	2.75	25	100	16 Jul 26 (+25bp)	27 Aug 26	Aug 26 (+25bp)	3.00	3.25	3.50	3.75	3.75
Indonesia	BI RRR	5.75	50	25	18 Jun 26 (+25bp)	19 Aug 26	**Sep-26 (+25bp)**	6.00	6.00	6.00	6.00	6.00
India	Repo rate[2]	5.25	-25	0	5 Dec 25 (-25bp)	5 Aug 26	On hold	5.25	5.25	5.25	5.25	5.25
Malaysia	O/N rate	2.75	0	25	9 Jul 25 (-25bp)	3 Sep 26	Nov 26 (+25bp)	2.75	3.00	3.00	3.00	3.00
Philippines	Rev repo	4.75	-50	75	18 Jun 26 (+25bp)	27 Aug 26	Aug 26 (+25bp)	5.00	5.50	5.50	5.50	5.50
Thailand	1-day repo	1.00	-75	0	25 Feb 26 (-25bp)	26 Aug 26	On hold	1.00	1.00	1.00	1.00	1.00
Taiwan	Official disc.	2.00	0	0	21 Mar 24 (+12.5bp)	17 Sep 26	On hold	2.00	2.00	2.00	2.00	2.00

Source: J.P. Morgan.

Bold denotes move since last GDW and forecast changes. Underline denotes policy meeting during upcoming week. Aggregates are GDP-weighted averages.

Any long-form nomenclature for references to China; Hong Kong; and Taiwan within this research material is Mainland China;

Hong Kong SAR (China) and Taiwan (China).

US & International Rates forecast

		10-Jul	Sep-26	Dec-26	Mar-27	Jun-27	YTD chg. (bp)
US	Fed funds	3.50-3.75	3.50-3.75	3.50-3.75	3.50-3.75	3.50-3.75	-
	SOFR	3.67	3.60	3.60	3.60	3.60	-
	2Y bmk yield	4.18	4.15	4.20	4.20	4.30	72
	5Y bmk yield	4.28	4.40	4.45	4.50	4.50	60
	10Y bmk yield	4.55	4.65	4.70	4.75	4.75	42
	30Y bmk yield	5.06	5.10	5.15	5.15	5.15	25
	2s/10s bmk curve	37	50	50	55	45	-31
	10s/30s bmk curve	52	45	45	40	40	-17
	2s/30s bmk curve	89	95	95	95	85	-47
Euro area	Refi rate	2.40	2.65	2.65	2.65	2.65	-
	Depo rate	2.25	2.50	2.50	2.50	2.50	-
	3M Euribor	2.41	2.50	2.50	2.50	2.50	40
	2Y bmk yield	2.65	2.60	2.55	2.45	2.40	53
	5Y bmk yield	2.76	2.70	2.65	2.60	2.55	32
	10Y bmk yield	3.08	2.95	2.90	2.85	2.80	22
	30Y bmk yield	3.62	3.45	3.45	3.40	3.35	14
	2s/10s bmk curve	43	35	35	40	40	-31
	10s/30s bmk curve	54	50	55	55	55	-8
	2s/30s bmk curve	97	85	90	95	95	-39
vs. 6s	2Y swap spread	18	20	19	18	17	5
	5Y swap spread	13	12	13	13	14	3
	10Y swap spread	3	2	4	6	7	-2
	30Y swap spread	-36	-34	-31	-29	-26	-13
10Y spread	Austria	23	28	28	28	28	-5
to Germany	Belgium	53	55	58	60	55	3
(curve adj.)	Finland	33	33	33	33	33	3
	France	77	75	80	85	75	9
	Greece	66	70	70	70	70	5
	Ireland	15	15	15	15	15	-5
	Italy	75	85	85	80	80	9
	Netherlands	9	10	10	10	10	-3
	Portugal	34	38	38	38	38	4
	Spain	45	45	45	45	45	3
	EU	40	38	35	35	35	8

		10-Jul	Sep-26	Dec-26	Mar-27	Jun-27
UK	Base rate	3.75	3.75	4.00	4.00	3.75
	2Y bmk yield	4.23	4.25	4.20	4.15	4.10
	5Y bmk yield	4.42	4.35	4.35	4.35	4.25
	10Y bmk yield	4.89	4.80	4.80	4.75	4.70
	30Y bmk yield	5.62	5.45	5.45	5.45	5.40
	2s/10s bmk curve	66	55	60	60	60
	10s/30s bmk curve	73	65	65	70	70
	2s/30s bmk curve	139	120	125	130	130
vs. SONIA	2Y swap spread	-15	-10	-12	-15	-17
	5Y swap spread	-24	-22	-24	-26	-26
	10Y swap spread	-45	-45	-47	-50	-50
	30Y swap spread	-69	-70	-68	-65	-65
Japan	Policy rate	0.75	1.00	1.25	1.25	1.50
	2Y bmk yield	1.44	1.45	1.50	1.50	1.60
	5Y bmk yield	1.96	1.95	2.00	2.00	2.05
	10Y bmk yield	2.70	2.95	2.95	2.95	3.05
	20Y bmk yield	3.70	3.85	3.85	3.85	3.95
	30Y bmk yield	3.88	4.10	4.10	4.10	4.10
	2s/10s bmk curve	126	150	145	145	145
	10s/30s bmk curve	118	115	115	115	105
	2s/30s bmk curve	244	265	260	260	250
Australia	Cash rate	4.35	4.35	4.35	4.35	4.35
	3Y bmk yield	4.47	4.30	4.10	4.10	4.00
	10Y bmk yield	4.89	4.70	4.50	4.60	4.50
New Zealand	Cash rate	2.50	2.75	3.00	3.25	3.25
	2Y bmk yield	3.55	3.50	3.50	3.50	3.50
	10Y bmk yield	4.59	4.40	4.30	4.20	4.15
Sweden	Repo rate	1.75	1.75	2.00	2.00	2.00
	2-year govt	2.25	2.35	2.35	2.30	2.25
	10-year govt	2.84	2.80	2.80	2.75	2.75
Norway	Depo rate	4.25	4.50	4.50	4.50	4.25
	2-year govt	4.45	4.55	4.45	4.20	4.00
	10-year govt	4.38	4.30	4.25	4.10	4.00

Source: J.P. Morgan. Levels as of 1pm London time. **Newly issued benchmark change is from inception up to COB

Commodities price forecasts

J. P. Morgan commodities price forecast

Quarterly and annual averages

		1Q26A	2Q26A	3Q26	4Q26	1Q27	2Q27	3Q27	4Q27	2026	2027
Energy											
WTI Crude	US$/bbl	73	92	81	74	67	63	56	52	80	59
Brent Crude	US$/bbl	78	98	86	80	71	67	60	56	86	63
US Natural Gas (Henry Hub)	US$/MMBtu	4.0	2.9	3.6	4.2	4.0	3.5	3.6	3.9	3.7	3.7
European Natural Gas (TTF)	EUR/MWh	40	46	55	60	60	40	40	45	50	46
UK Natural Gas (NBP)	GBp/Therm	101	112	134	149	149	97	97	112	124	114
Japan Korea Marker (JKM)	US$/MMBtu	13.2	17.6	18.9	20.6	20.6	14.4	14.4	15.6	17.6	16.3
Base Metals											
Aluminum	US$/mt	3,198	3,562	3,800	3,700	3,450	3,200	2,900	2,750	3,565	3,075
Copper	US$/mt	12,824	13,352	14,500	14,800	14,000	13,800	13,800	13,600	13,869	13,800
Nickel	US$/mt	17,338	18,090	17,000	17,250	17,500	18,000	18,000	17,500	17,419	17,750
Zinc	US$/mt	3,237	3,464	3,500	3,400	3,300	3,200	3,050	3,000	3,400	3,138
Precious Metals											
Gold	US$/t oz	4,873	4,508	4,300	4,500	4,600	4,700	4,800	5,000	4,545	4,775
Silver	US$/t oz	83.7	73.1	62.5	63.0	63.0	63.5	64.0	65.0	70.6	63.9
Platinum	US$/t oz	2,204	1,916	1,700	1,800	1,875	1,900	1,950	1,950	1,905	1,919
Palladium	US$/t oz	1,706	1,409	1,300	1,350	1,400	1,350	1,250	1,200	1,441	1,300
Agriculture											
Wheat	USc/bu	556	608	560	580	570	570	560	600	576	575
Corn	USc/bu	438	444	450	470	460	460	450	480	450	463
Soybeans	USc/bu	1,117	1,162	1,050	1,100	1,100	1,130	1,100	1,150	1,107	1,120
Sugar (ICE #11)	Usc/lb	14.6	14.2	15.5	17.0	17.0	16.5	17.0	17.5	15.3	17.0
Cotton (ICE #2)	Usc/lb	64	77	74	75	75	76	76	76	73	76
MDE-Bursa Palm Oil	MYR/tonne	4,173	4,505	4,500	4,500	4,600	4,500	4,600	4,700	4,420	4,600

Source: J.P. Morgan Commodities Research. *1Q26 and 2Q26 are realized.

Global FX forecasts (1 of 2)

Exchange rates vs. U.S dollar

		Current					JPM forecast gain/loss vs June 27*			Actual change in local FX vs USD			
Majors		**10-Jul**	**Sep 26**	**Dec 26**	**Mar 27**	**Jun 27**	**Spot**	**Forwards**	**Consensus****	**Past 1mo**	**Past 3mo**	**YTD**	**Past 12mos**
	EUR	1.14	1.14	1.13	1.12	1.10	-3.7%	-5.1%	-6.8%	-1.9%	-2.6%	-2.8%	-2.4%
	JPY	162	160	164	164	164	-1.3%	-4.1%	-6.1%	-1.6%	-1.6%	-3.2%	-9.6%
	GBP	1.34	1.31	1.28	1.29	1.28	-4.6%	-4.6%	-5.3%	-0.2%	-0.4%	-0.5%	-1.3%
	AUD	0.69	0.70	0.69	0.69	0.69	-0.7%	-0.2%	-5.5%	-3.2%	-1.7%	4.1%	5.4%
	CAD	1.42	1.40	1.41	1.40	1.39	1.8%	0.3%	-1.4%	-2.3%	-2.2%	-3.1%	-3.5%
	NZD	0.58	0.60	0.60	0.60	0.60	4.1%	3.2%	0.0%	-3.6%	-1.3%	0.1%	-4.5%
JPM USD index		108.3	107.7	108.3	108.7	109.3	0.9%	1.7%	2.7%	1.2%	1.2%	0.5%	0.3%
DXY		100.9	101.0	102.2	102.8	104.0	3.0%	-4.5%	6.0%	1.9%	2.3%	2.6%	3.4%
Europe, Middle East & Africa													
	CHF	0.81	0.81	0.81	0.82	0.84	-3.4%	-7.2%	-4.8%	-3.2%	-2.4%	-1.9%	-1.3%
	ILS	3.01	2.90	2.80	2.70	2.70	11.5%	9.9%	10.0%	-6.9%	0.9%	5.8%	9.9%
	SEK	9.65	9.47	9.56	9.73	9.91	-2.6%	-4.5%	-8.7%	-4.1%	-4.1%	-4.6%	-1.6%
	NOK	9.77	9.56	9.56	9.55	9.73	0.5%	0.9%	-4.8%	-5.3%	-2.5%	3.2%	3.1%
	CZK	21.23	21.05	20.97	20.98	21.27	-0.2%	-0.6%	-4.0%	-1.8%	-2.1%	-3.0%	-0.8%
	PLN	3.80	3.68	3.72	3.66	3.73	1.8%	1.5%	-3.4%	-4.4%	-4.4%	-5.4%	-4.2%
	HUF	312	298	301	299	305	2.3%	3.1%	-2.6%	-2.3%	2.8%	5.0%	9.4%
	TRY	46.98	49.00	51.40	53.70	56.11	-16.3%	12.3%	-2.9%	-2.3%	-5.0%	-8.6%	-14.7%
	ZAR	16.32	16.25	16.00	15.90	15.75	3.6%	6.4%	2.0%	-0.5%	0.7%	1.5%	8.8%
Americas	ARS	1488	1500	1550	1600	1650	-9.8%	11.0%	5.3%	-5.3%	-7.8%	-2.4%	-15.6%
	BRL	5.11	5.15	5.20	5.15	5.15	-0.8%	6.8%	1.0%	-1.1%	-2.0%	7.2%	8.3%
	CLP	925	875	870	865	860	7.6%	7.4%	2.3%	-3.9%	-3.1%	-2.7%	2.7%
	COP	3252	3450	3500	3550	3550	-8.4%	-0.5%	1.4%	11.9%	11.7%	16.2%	23.3%
	MXN	17.52	17.35	17.30	17.30	17.30	1.2%	4.1%	2.9%	-1.0%	-1.2%	2.8%	6.2%
	PEN	3.39	3.45	3.40	3.35	3.35	1.2%	2.6%	0.0%	0.7%	0.0%	-0.9%	4.6%

Source: J.P. Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates.

** Bloomberg FX Consensus Forecasts compares 4Q'26

Global FX forecasts (2 of 2)

Exchange rates vs. U.S dollar

Majors		Current 15-May	Jun 26	Sep 26	Dec 26	Mar 27	JPM forecast gain/loss vs March 27* Spot	Forwards	Consensus**	Actual change in local FX vs USD Past 1mo	Past 3mo	YTD	Past 12mos
Asia	CNY	6.78	6.70	6.70	6.75	6.80	-0.3%	-2.8%	-1.5%	-0.2%	0.8%	3.1%	5.9%
	HKD	7.84	7.84	7.84	7.85	7.85	-0.1%	-1.0%	-0.6%	-0.1%	-0.1%	-0.7%	0.1%
	IDR	18055	18300	18500	18600	18700	-3.4%	-0.7%	-5.3%	-1.0%	-5.3%	-7.6%	-10.2%
	INR	95.33	95.50	96.00	97.00	98.00	-2.7%	0.2%	-2.1%	-0.3%	-2.7%	-5.7%	-10.2%
	KRW	1503	1540	1560	1580	1585	-5.2%	-6.0%	-6.9%	0.3%	-1.3%	-4.2%	-8.6%
	MYR	4.07	4.00	4.00	4.05	4.10	-0.7%	-1.4%	-3.7%	-2.7%	-2.6%	-0.3%	4.3%
	PHP	61.52	62.50	63.00	64.50	65.00	-5.4%	-3.9%	-6.0%	0.1%	-2.5%	-4.4%	-8.2%
	SGD	1.29	1.28	1.28	1.28	1.28	0.9%	-1.6%	-1.6%	-1.1%	-1.4%	-0.5%	-0.9%
	TWD	32.19	31.70	31.90	31.90	31.90	0.9%	0.9%	-3.1%	-2.6%	-1.4%	-2.4%	-9.2%
	THB	33.32	33.00	33.30	33.30	33.50	-0.5%	-2.7%	-2.8%	-2.3%	-3.5%	-5.4%	-1.9%
EMCI		46.7	45.5	45.3	45.2	44.9	-3.9%	1.1%	-2.6%	-1.2%	-1.2%	0.6%	1.7%
Exchange rates vs Euro										**Actual change in local FX vs EUR**			
	JPY	185	182	185	184	180	2.5%	1.0%	0.7%	0.3%	1.0%	-0.5%	-7.4%
	GBP	0.85	0.87	0.88	0.87	0.86	-0.9%	0.5%	1.6%	1.8%	2.2%	2.3%	1.1%
	CHF	0.92	0.92	0.92	0.92	0.92	0.3%	-2.2%	2.2%	-1.3%	0.2%	0.9%	1.0%
	SEK	11.02	10.80	10.80	10.90	10.90	1.1%	0.7%	-2.1%	-2.2%	-1.4%	-1.9%	0.8%
	NOK	11.16	10.90	10.80	10.70	10.70	4.3%	6.3%	2.1%	-3.5%	0.1%	6.1%	5.6%
	CZK	24.25	24.00	23.70	23.50	23.40	3.6%	4.7%	3.0%	0.1%	0.5%	-0.3%	1.6%
	PLN	4.34	4.20	4.20	4.10	4.10	5.7%	7.0%	3.7%	-2.5%	-1.9%	-2.7%	-1.9%
	HUF	356	340	340	335	335	6.2%	8.6%	4.5%	-0.4%	5.3%	8.0%	12.0%
	RON	5.23	5.25	5.27	5.30	5.30	-1.2%	2.0%	0.0%	0.3%	-2.7%	-2.7%	-3.1%
	TRY	53.71	55.86	58.08	60.14	61.72	-13.0%	18.3%	4.2%	-0.4%	-2.5%	-5.9%	-12.5%
	BRL	5.83	5.87	5.88	5.77	5.67	3.0%	12.6%	8.3%	0.9%	0.6%	10.7%	11.0%
	MXN	20.01	19.78	19.55	19.38	19.03	5.1%	9.7%	10.4%	0.9%	1.4%	5.7%	8.8%

↑ indicates a revision resulting in a stronger currency forecast, ↓ indicates a revision resulting in a weaker currency forecast. Source: J.P.Morgan

* Positive indicates JPM more bullish on local currency than spot, consensus or forward rates. ** Bloomberg FX Consensus Forecasts compares 2Q'27

GBI-EM Global Diversified Return Forecast

	Total Return			Yield			Carry and Duration Rt			FX Spot vs. USD			FX Spot Return vs. USD		
	1H26F	2H26F	2026	Current	2Q26F	4Q26F	1H26F	2H26F	2026	Current	2Q26F	4Q26F	1H26F	2H26F	2026
GBI-EM Global Diversified	2.7%	2.4%	5.2%	6.13%	6.11%	6.03%	2.8%	3.2%	6.1%				-0.0%	-0.8%	-0.8%
China	6.7%	-0.4%	6.2%	1.81%	1.75%	1.70%	2.3%	1.1%	3.4%	6.77	6.85	6.85	4.3%	-1.5%	2.8%
India	2.1%	-7.3%	-5.3%	6.97%	7.30%	7.40%	1.1%	2.1%	3.2%	96.30	89.00	89.50	1.0%	-9.2%	-8.3%
Indonesia	-11.8%	1.1%	-10.9%	7.20%	7.15%	7.30%	-2.1%	2.2%	-0.0%	18062	17000	17100	-9.9%	-1.1%	-10.8%
Malaysia	1.9%	-1.6%	0.3%	3.77%	3.90%	4.00%	0.4%	0.8%	1.3%	4.08	4.00	4.00	1.5%	-2.4%	-1.0%
Thailand	-13.4%	-1.5%	-14.7%	2.15%	2.55%	2.70%	-3.7%	-0.1%	-3.8%	33.62	32.50	33.50	-10.0%	-1.4%	-11.3%
Czech Republic	1.3%	4.6%	5.9%	4.54%	4.40%	4.30%	2.2%	2.4%	4.7%	21.16	21.79	21.21	-0.9%	2.1%	1.2%
Hungary	13.9%	7.6%	22.6%	5.31%	4.75%	4.45%	11.7%	3.5%	15.7%	313.31	330.36	318.97	2.0%	4.0%	6.0%
Poland	0.0%	4.8%	4.9%	4.86%	4.75%	4.70%	2.3%	2.2%	4.5%	3.78	3.79	3.66	-2.2%	2.6%	0.3%
Romania	4.4%	5.4%	10.0%	6.67%	6.40%	6.30%	4.9%	3.1%	8.2%	4.58	4.57	4.48	-0.5%	2.2%	1.7%
Serbia	0.5%	4.8%	5.3%	5.28%	5.30%	5.30%	1.1%	2.2%	3.3%	102.62	104.91	101.29	-0.5%	2.6%	2.0%
South Africa	11.1%	7.2%	19.1%	8.69%	8.30%	8.00%	7.2%	5.6%	13.2%	16.33	15.70	15.70	3.6%	1.6%	5.2%
Turkey	-10.2%	4.7%	-6.0%	35.13%	35.00%	35.00%	7.4%	14.3%	22.8%	47.03	48.00	53.50	-16.4%	-8.4%	-23.4%
Brazil	14.0%	8.4%	23.6%	14.28%	13.50%	13.00%	8.2%	7.4%	16.2%	5.08	5.35	5.40	5.3%	1.0%	6.3%
Chile	6.3%	2.4%	8.9%	5.50%	5.40%	5.60%	2.5%	1.3%	3.8%	924	840	830	3.7%	1.2%	4.9%
Colombia	17.1%	6.9%	25.1%	11.87%	12.50%	11.75%	9.0%	8.4%	18.2%	3219	3800	3800	7.4%	-1.4%	5.8%
Dominican Republic	10.7%	4.4%	15.6%	9.17%	9.75%	9.50%	3.5%	5.3%	9.0%	58.52	63.50	63.50	7.0%	-0.8%	6.1%
Mexico	10.6%	6.2%	17.5%	8.99%	8.75%	8.25%	6.5%	6.2%	13.1%	17.38	17.40	17.30	3.9%	0.0%	3.9%
Peru	-1.5%	2.2%	0.7%	5.73%	6.25%	6.50%	-0.3%	0.7%	0.4%	3.38	3.30	3.25	-1.2%	1.5%	0.3%
Uruguay	2.1%	5.7%	7.9%	7.40%	7.50%	7.50%	4.5%	3.1%	7.7%	40.20	38.50	38.00	-2.3%	2.6%	0.2%

Source: J.P. Morgan; Using current index weights for forward projections. As of 15-July-26 COB.

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J.P. Morgan Emerging Markets Sovereign Research Ratings Distribution, as of July 4, 2026

	Overweight (buy)	Marketweight (hold)	Underweight (sell)
Emerging Markets Sovereign Research Universe*	9%	84%	7%
IB clients**	100%	84%	100%

*Please note that the percentages may not add to 100% because of rounding.
**Percentage of subject issuers within each of the "Overweight, "Marketweight" and "Underweight" categories for which J.P. Morgan has provided investment banking services within the previous 12 months.
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Disclosures

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IB clients**	84%	84%	89%

*Please note that the percentages may not add to 100% because of rounding.
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